



Total Kenya Limited

2010 Annual Report and Financial Statements



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Our Vision

To be a leader in the quality of our products and services.

To be a leader in profitability and return to our stakeholders.

To be the most responsible and preferred company in the region.

Our Mission

The purpose of Total Kenya is to market quality petroleum products and services to its customers responsibly and profitably in an innovative way to ensure that the public will come and continue to turn to Total.

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the 57th Annual General Meeting of the Company will be held at the KICC, Aberdares and Lenana Meeting rooms, Nairobi on Wednesday, 8 June at 10.00 a.m. to transact the following business:

ORDINARY BUSINESS

1. To read the notice convening the meeting, table proxies and to confirm the presence of a quorum.
2. To confirm the minutes of the 56th Annual General Meeting held on 2 June 2010.
3. To receive, consider and adopt the Financial Statements for the year ended 31 December 2010 together with the Chairman's Statement and the reports of the Directors and Auditors thereon.
4. To declare a dividend of Kshs 1.05 per share in respect of the financial year ended 31 December 2010 payable to the holders of Ordinary Shares and Redeemable Preference Shares registered in the Register of Members as at 9 June 2011.
5. To approve the Directors' fees for the financial year ended 31 December 2010.
6. To note that no Director is due for retirement by rotation.
7. To re-appoint Messrs Deloitte & Touche in office as the Auditors by virtue of Section 159 (2) of the Companies Act (Cap. 486) and to authorise the Directors to fix their remuneration for the ensuing financial year.
8. Any other business of which due notice has been given.

SPECIAL BUSINESS

9. Amendment to the Articles of Association
To consider and, if thought fit, pass the following resolution as a Special Resolution:-
"That the Articles of Association of the Company be amended as follows:-
A) 'That Article 134 be deleted in its entirety and replaced with the following new article:-
134. (a) Any dividend or other money payable in cash on or in respect of shares may be paid by
i) direct debit, bank transfer or other automated system of bank transfer, electronic or mobile money transfer system transmitted to such bank or electronic or mobile telephone address as shown in the share register of the Company; or
ii) by cheque or warrant payable at such place of business as the Company shall specify in writing, sent by post to the address of the member or person entitled to it as shown in the share register of the Company or if two or more persons are registered as joint holders of the shares, to the registered address of the joint holder who is first named in the share register of the Company or in the case of two or more persons being entitled thereto in consequence of the death or bankruptcy of the holder, to any one of such persons at such address as the persons being entitled to receive payment may in writing direct.
(b) Every such cheque or warrant or funds transfer shall be made payable to or to the order of the person to whom it is sent or to such person who may be entitled to the same. Payment of the cheque or warrant, if purporting to be endorsed or enfaced, by the addressee or as the case may be, confirmation of payment having been made by the transmitting entity to the addressee of a direct debit, bank transfer or other automated system of bank transfer or via a mobile money transfer system, shall in each case be a good discharge to the Company. Every such payment whether by cheque or warrant or electronic funds transfer or mobile money payments system shall be sent at the risk of the person entitled to the money represented by it.'
B) 'That the following new Article 144 (a) be added immediately after Article 144:-
144. (a) The Accounts may be sent or otherwise made available by electronic means and not by post. This Article shall not require a copy of the Accounts to be sent or otherwise made available by electronic means to any person whose electronic or postal address the Company is not aware

of, nor to more than the first named of any joint holders of any shares. The Company may also send the accounts to all persons entitled thereto by publishing the Accounts on the Company's official website provided that the Company shall send to every Member or publish a summary of the Financial Statements and Auditors Report in two daily newspapers with national circulation for two consecutive days drawing attention to the website on which the Accounts in full may be read, and the address to which a request for a printed copy of the Accounts may be submitted to the Company Secretary and upon any such publication the Accounts shall be deemed to have been sent to every Member or other person entitled to received a copy of the Accounts.'

- C) 'That Article 152 be deleted in its entirety and replaced with the following new Article:-

152. Every notice or other document given by the Company shall be in writing. To the extent permissible by law, the Company may serve any notice to be given to its Members by:

- a) Publishing such notice in two daily newspapers with nationwide circulation; or
- b) Sending such notice through the post addressed to such Member at his registered postal address; or
- c) By facsimile transmission to such Member at his registered facsimile address; or
- d) By electronic mail to such Member at his registered electronic mail address.

Provided that where the Company elects to send such notice to such Member at his registered facsimile or electronic mail address the Company shall ensure that such notice is also published in two daily newspapers with nationwide circulation.

Any notice which has been published in a daily newspaper in accordance with Article 152 shall be deemed to have been served at 9:00 am on the next business day following the date when it was published.

Any notice sent by facsimile or electronic mail shall be deemed to have been served at 9:00 am on the business day following the date when transmitted or sent.

In proving the giving of a notice, it shall be sufficient to prove that the notice was published in a daily paper of nationwide circulation, or that the envelope containing the notice was properly addressed, stamped and posted, or that the applicable means of telecommunication or electronic communication was properly addressed and transmitted, dispatched or sent.

The failure of any person or entity to receive any notice served shall not in any way invalidate any proceedings or actions taken by the Company for which the notice was given."

BY ORDER OF THE BOARD



J L G MAONGA
SECRETARY

Date: 9 March 2011

Note: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy, which is provided with this report, must be duly completed by the member and must be lodged at the Registered Office of the Company, Regal Plaza, Limuru Road, Parklands P O Box 30736, 00100-Nairobi, or posted in time to reach not later than 10.00 am on 6 June 2011.

DIRECTORS & PROFESSIONAL ADVISORS



Service with a smile

DIRECTORS

Hervé Allibert *- Chairman
 Alexis Vovk*- Managing (Also alternate to Hervé Allibert as Chairman)
 Alain Champeaux*
 Alain Vedier*
 Franck Dessaintjean* - (Alternate to Alexis Vovk)
 Maurice K'Anjejo - (Alternate to Alain Champeaux)
 Daniel Mayieka - (Alternate to Alain Vedier)
 Alice Mayaka

* French

SECRETARY

J L G Maonga
 P.O Box 30029-00100
 Nairobi
 Kenya

HEAD OFFICE AND REGISTERED OFFICE

Regal Plaza, Limuru Road
 P O Box 30736-00100
 Nairobi
 Kenya

AUDITORS

Deloitte & Touche
 Certified Public Accountants (Kenya)
 Deloitte Place
 Waiyaki Way, Muthangari
 P O Box 40092-00100
 Nairobi
 Kenya

ADVOCATES

Njoroge Regeru and Company
 P.O Box 46856-00100
 Nairobi, Kenya

BANKERS

Citibank NA
 P.O Box 30711-00100
 Nairobi, Kenya

REGISTRARS

Comprite Kenya Limited
 P.O Box 63428-00619
 Nairobi, Kenya

REPORT OF THE DIRECTORS



The biggest motor expo in middle Africa

The directors present their report together with the audited financial statements for the year ended 31 December 2010.

ACTIVITY

The principal activity of the company is the sale of petroleum products.

RESULTS

The results for the year are as follows:

	Kshs'000
Profit before taxation	1,388,425
Taxation	(472,220)
Profit for the year transferred to revenue reserve	916,205

DIRECTORS

The present membership of the Board is set out on page 3. On 16 September 2010, the following changes took place; Mr Felix Majekodunmi and Mr Michael Karanja retired as the Managing Director and director respectively. On the same date, Mr Olivier Berthaud resigned as a director and Mr Joseph Adewa ceased as alternate director to Mr Olivier Berthaud. Mr Alexis Vovk and Mr Alain Vedier were appointed as Managing Director and director respectively. Mr Daniel Mayieka was appointed alternate director to Mr Alain Vedier. On 31 October 2010, Mrs Alice K Mayaka was appointed director.

DIVIDEND

The directors recommend a first and final dividend of Kshs 1.05 (2009 Kshs 1.00) per share in respect of the year. The dividend is subject to withholding tax at a rate of 5% for residents and 10% for non-residents, unless specifically exempted.

AUDITORS

Deloitte & Touche, having confirmed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap 486).

BY ORDER OF THE BOARD

Secretary
9 March 2011

STATEMENT OF DIRECTORS' RESPONSIBILITIES



At the forefront on health matters

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Alexis Vovk

Director

Franck Dessaintjean

Director

9 March 2011



“We have planned to continue investing to ensure safety at all our installations, improve existing facilities and acquire new assets whenever profitable opportunities arise”

Hervé ALLIBERT

Hervé Allibert aged 53 is a graduate of the French Business School ICN (Institut Commercial de Nancy). He joined the group in 1983; worked in several positions in marketing and international development in both Network Sector and Specialities. He was the Managing Director of Elf Oil Denmark in charge of Scandinavia from 1994 to 1998. Thereafter he took the position of Marketing General Manager of Total Overseas (Africa, Middle East and Caribbean) in 2002. He was appointed Executive Vice President of North East Africa in January 2007.



Alexis VOVK

Mr. Alexis VOVK, 46, holds a Masters Degree in Business Administration from ESSEC Business School Paris, France. He joined the Total Group in 1991 and has worked in several countries in different positions in Marketing and Strategy. In 2005 he was appointed Deputy Vice President for South East Africa and Indian Ocean, a position he held until 2007 when he moved to Total Zambia as Managing Director, a post he held until September 2010 when he was appointed Managing Director, Total Kenya.

Alice MAYAKA

Mrs. Alice K. Mayaka, CBS, OGW, aged 59 holds a BEd. (Sc) from the University of Nairobi; Postgraduate Diploma in Curriculum Development from Kenyatta University; and MSc. (HRD) from the University of Manchester, UK. She worked in the Kenya Public Service for 33 years which included 10 years in charge of Secondary Chemistry Curriculum Development at Kenya Institute of Education. In 1997, she was appointed an Assistant Director, Directorate of Personnel Management where she rose through the ranks to become Deputy Director before her appointment as Permanent Secretary in what is currently known as Ministry of Heritage and Culture. Alice is also the Vice Chairman of Council, Kisii University College. She was appointed to the Total Kenya Board in October 2010



Alain CHAMPEAUX

Mr. Alain Champeaux aged 61 holds an Engineering Degree from Ecole Nationale Supérieure des Mines de Paris, France as well as Masters of Arts in Economics from Stanford University, USA. He joined the Total group in 1976. He has worked in several positions in Planning/ Budget/Investments Projects as well as in the Network Sector in Europe. He became the Senior Vice President Marketing Europe in 1995 and has been the Senior Vice President of Africa/Middle East since 2002

Alain VEDIER

Mr. Alain Vedier, aged 44, acted as in-house legal counsel for Total S.A. for 12 years where he gained significant project finance as well as structured and corporate financing experience, before joining the Finance Department of Total S.A. in 2010. He has advised TOTAL on many financing transactions, including major projects. Mr. Vedier received his Master of Laws, cum laude from the Université Jean Moulin – Lyon III (France). He is also a post-graduate (D.E.S.S.) of the Université Jean Moulin - Lyon III (France) and received his LL.M., cum laude, from the University of Minnesota Law School (USA). He was appointed to the Total Kenya Board in September 2010.



Maurice K'ANJEJO

Maurice Odhiambo K'Anjejo aged 53 holds a Bachelor of Commerce degree {Accounting} from the university of Nairobi. He started his career in Internal Audit at TPS Serena group upon graduation in 1983 before joining Total Kenya Limited in 1985 as Management Accountant. He has since held various responsibilities, including being Chief Accountant and Human Resources and Administration Manager. He was appointed the Corporate Affairs Manager in 2003, a post he holds to date.



Franck DESSAINTJEAN

Mr. Franck Dessaintjean aged 41 has a MSc in Finance and Controlling from Institut Supérieur de Gestion (I.S.G). He worked in Total Cameroon as Finance and Information Technology Manager, Total France as Management Controller for Europe and Totalfinaelf Deutschland (Germany) as Management controller for Refining and Marketing. He was appointed the Finance Director of Total Kenya Limited in July 2007.



Daniel MAYIEKA

Mr. Daniel Minda Mayieka aged 40 holds a Bachelor of Commerce degree from the University of Nairobi and has completed post graduate studies in Strategy and Strategic Management. He has 17 years experience in the Oil Industry having served in various capacities that include sales & marketing, Marketing Support and Customer Service among others. Before being appointed to his current role of Specialties Manager in 2009, he was responsible for all Commercial activities of Chevron in East Africa encompassing the countries of Kenya, Uganda and Tanzania.



J.L.G MAONGA

Mr. Maonga aged 50 has a B A Degree from Nairobi University and is a Certified Public Secretary. He is a member of the Institute of Certified Public Secretaries of Kenya and has over 20 years experience in Company Secretarial and Registration Services. He was appointed Company Secretary on 1st February 1999.



COMPANY PROFILE



CORPORATE STATUS

Total Kenya Limited is part of the global Total Group, which is the fourth largest publicly-traded integrated international oil and gas company in the world. Total is deeply rooted in Kenya's economy and society, with long-term investments amounting to many billions of shillings. Kenyans have a major stake in the company. Total has been operating in Kenya for the past 56 years; it was and still is the first multinational oil company to be quoted on the Nairobi Stock Exchange; and is a key part of Kenya's essential services infrastructure. It is one of the largest revenue generators for the exchequer, and has been a consistent leader in technical innovation, service quality and community project action.

CORE BUSINESS

Total Kenya's core business is the distribution of petroleum fuels and lubricants and related products to industry, transport, commercial and domestic users throughout Kenya.

MAINSTREAM PRODUCTS

Mainstream fuel products include automotive gasoline (petrol) and gasoil (diesel), liquified petroleum gas (LPG), dual purpose kerosene (DPK, both Illuminating kerosene and Jet A1), Aviation fuel (Avgas), Industrial diesel and Fuel Oil. The Company also markets Bitumen, which is a residue of the crude oil refining process from which all the other products are derived. The range of lubricants includes state-of-the-art grades of engine and transmission oils and greases for all applications in automotive and industrial machinery of all kinds.

The company also provides related products such as formulated coolants, distilled water, brake fluids and cleaning compounds.

THE FACILITIES

All of Total's facilities conform to an international "Premier" standard, especially in relation to personnel, customer, environmental and user-equipment safety, through both built-in designs, the integrity of equipment, and strict operational codes.

These systems are enforced by requirement, reinforced by training, and maintained by constant monitoring and special inspection.

At Total stations, for example, these standards apply to every aspect from construction of buildings to fail-safe wiring, underground seepage barriers, oil and grease traps, the integrity of equipment, the skill and discipline of personnel, supervision controls, and emergency response procedures. Both design and operations ensure clean and spacious lay-outs, clear signage, smooth traffic flows, and efficient function. Staff is well trained and constantly up-graded.

PERSONNEL PERFORMANCE

All Total staff receive regular and specialist training. Teamwork, professionalism and energy are the corporate culture. This creates a performance ethic that ensures every task and service - whether at the reception desk of an office, the docking station of a depot or under-bonnet checks on a station forecourt - is friendly, proficient and quick.

STATION SERVICES

Total stations offer a wide and ever-increasing range of value added services - all delivered to the highest quality standards. All Total stations are both an oasis of services for travelers and an integral part of their local community.

BUSINESS CONDUCT

Total's own business is run to a high standard of integrity and professionalism in all respects, and all its investments, employment practices, safety-health environment commitments and commercial dealings guarantee these qualities.

Total has achieved ISO 9001:2008 Certification (relating to customer-focused quality management and constant improvement throughout its network), ISO 14001:2011 (for environmental management), and ISSRS Level 3 (excellent) rating in Safety Achievement. Total has a non-stop programme to recertify, further upgrade and extend these systems in all its operations.

The company constantly innovates and invests - in people, equipment, and systems - to ensure it offers the best possible service to its customers in competitive value, reliable delivery, management and structural support and administrative efficiency.

INNOVATION

Creative thinking and action is more than just a buzzword at Total. It is an ever-present part of the Company's marketing strategy and performance delivery - a determination to make good products and services even better, to tailor both even more exactly to customer preferences, to respond to technical, market and lifestyle dynamics, and to take a competitive position and add even more value.

Kenya's LPG market was limited to 12 kg cylinders for many decades. It was Total who introduced the more portable and lower-cost 6 kg Meko for lower-budget consumers, and added a simple stove attachment, and a light attachment, and then an even smaller Baby Meko. In parallel, Total invested heavily in high-capacity storage and the most sophisticated refilling facilities - as ever backing the idea with physical capacity and real performance.

Lubrication bays are commonplace. Total upgraded theirs through Pit Stop for an even faster and more thorough service, including a 44-point diagnostic check. This has since been superseded by Auto Express with high-tech bulk oil dispensers to further cut time and costs for customers. Each of these evolutions has been accompanied by equipment upgrades and rigorous staff training.

Fuel cards have become universal currency. Total's Bon Voyage was the first to introduce SMART technology (which is programmable to enhance security and personalized flexibility) as opposed to the conventional magnetic strip.

Total did not simply buy title to the Kenya Motorshow. It was a partner in founding, designing and running the event, and a prime mover in its subsequent growth to international stature and regional pre-eminence.

The Total Eco Challenge is no off-the-peg project. Its concept and design, conceived and developed entirely by Total Kenya are unique. Its success is unprecedented in the promotion of tree planting, and it is also a best practice model for any sustainable development project.

That is the essence of Total Kenya. Being the best and always striving to be even better.





TOTAL
RUBIA
Mbele iko sawa

INTRODUCTION

Corporate Governance (CG) is the process by which companies are directed, controlled and held to account. CG standards are set to improve stakeholder value, by ensuring companies are responsibly structured and operated, are transparent and accountable in their conduct, and deliver accurate financial information.

Total Kenya Limited, through its Group and Company codes of conduct, complies with the highest CG standards, both nationally and internationally. CG standards and performance are regularly reviewed, to ensure the company is always up-to-date in this dynamic field, and strictly compliant.

BOARD OF DIRECTORS

The Directors are appointed by the shareholders on a three-year term. They may stand for re-election. The current composition of the Board is given on page 3 of this report. Implementation of the Board's directives is delegated through a Management Committee, which comprises all heads of departments and an Audit Committee. The management structure has a clear framework and is governed by precise organisational procedures, in which all staff is specifically trained and which have built-in checks and controls.

AUDIT COMMITTEE

The Audit Committee established by the Board contains at least three directors and is headed by an independent, non-executive director. In selecting the members of the Committee, the Board pays particular attention to their financial and accounting qualifications and experience. During the year, members of the committee were:

Chairman	- Alice Mayaka
Member	- Franck Dessaintjean
Member	- Maurice K'Anjejo

The principal responsibilities of this Committee include reviewing financial reports, internal audit reports, management letters and other information it orders to be tabled. The Committee holds at least four formal meetings each year which are also attended by the external auditors. It may also meet with the Managing Director, perform inspections and interview managers of the company at any time deemed appropriate or necessary.

MANAGEMENT COMMITTEE

This Committee, comprising the Managing Director and all the Heads of Departments, meets every fortnight to review performance, discuss issues, map out on-going operational strategies, and optimise co-ordination of all the Company's business processes. It serves as a channel for communication and feedback on issues that affect the business and performance of the Company in the short to medium term.

TOTAL KENYA TENDER COMMITTEE

This Committee, focused on monitoring and evaluation of procurement policies, comprises the following people:

Finance Director	- Chairman
Corporate Affairs Manager	- Secretary and Member
Operations Manager	- Member



HSEQ Manager	- Member
HR & Admin Manager	- Member and Alternate Secretary
Marketing Manager	- Member

They ensure all tenders are conducted in an open and unbiased manner, in compliance with the laid down procedures. The Committee ensures the Company's procurement process conforms to The Group's standards and is independent of any interference.

COMMUNICATION WITH THE SHAREHOLDERS

The company provides timely and appropriate information to shareholders through publication of quarterly accounts and the Annual Report and holds an annual face-to-face briefing. Shareholders are also advised of all important events that impact the Company's operation.

RELATIONS WITH EMPLOYEES

Key activities include regular staff communication meetings, team building processes, performance evaluation and training, career management, safety briefs and regular staff communication bulletin (Flash). In addition to these mechanisms, the company encourages dialogue and warm relations as part of the working culture of every employee.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Total Kenya regards CSR as a fundamental and priority investment - in focus, time, resources and funding - in both its core business operations and in external programmes. The translation of these principles into practice is amplified in the Company Profile/Social Report section of this document.

MAJOR EXTERNAL PROGRAMMES EMBRACE ISSUES OF:

Environment	- through the "Total Eco Challenge" campaign and sponsorship of major conservation efforts in partnership with the Rhino Ark Trust..
Health	- through Total's "Be Alive" programme and fight against malaria campaign
Education	- through "the "Franco Fun" TV Quiz and other school inputs
Culture	- through the "Spotlight on Kenyan Music" and other cultural events.

Total Kenya is also an active member of leading business and sector federations, is the co-founder and title sponsor of the Total Kenya Motorshow, and has numerous other engagements in sports, social and charitable events as direct participants and/or through resource support.

It should be emphasised that the principles which these external projects champion are also universally and deeply embedded in all of Total Kenya's internal operations. External CSR benefits from some of a company's time and some of a company's money. Internal operations embrace all of a company's time, and all its human, financial and physical resources. Total Kenya does not merely drive the ideas and promote the ideals of CSR with part of itself. It lives by them, in everything it does.



SOCIAL REPORT



Recognising outstanding tree projects

THE PRINCIPLES

Total believes CSR must be integral to the core business itself, as well as extending outside it. It is not enough to express the principles of CSR in bolt-on projects - they must be built-in to everything the company does.

Total Kenya tries to live by this self-imposed standard: The presence of Total in Kenya, and everything Total does in Kenya, must be of real and sustainable benefit to the country and its people.

Certainly, Total Kenya is a business, not a charity; the company's shareholders have invested to achieve the maximum sustainable return. But just as certainly, there are choices of how the company's objectives are met. It is those choices which truly determine a company's CSR commitment and value.

This ethos is so all-embracing that we do not make a distinction between our company profile and our social report. They are one.

IN PRACTICE

Total Kenya secures and distributes millions of litres of products per year. The company's "responsibility" extends to the specification and purity of every drop. Kenya's industrial and transport efficiency, individuals' personal property, human safety and environmental health depend on it.

Total Kenya has invested and re-invested for more than 50 years in infrastructure and equipment - bunkering, depots, bulk storage, transport systems, a national network of more than 160 stations - to ensure these products are readily available throughout Kenya, conveniently and competitively. The technical quality and operational performance of these systems (far above any statutory requirement) are the company's "responsibility".

All the people involved in all these systems are Total's responsibility - that their workplace is safe and healthy, that they have the skills and equipment to do the job expertly, that they are managed and motivated, that they have opportunity to advance, that they are treated with respect and that the company makes provision for their welfare and recognizes each one as part of a wider family and community. That applies to the close to 400 people directly employed by Total Kenya, and over 2000 who are part of Total Kenya's "extended family" of dealerships.

Further, as a major business and a quoted public company, Total Kenya recognizes that it has a responsibility to thousands of local

shareholders, the national economy, the exchequer, the whole business sector, and as an engine of national performance and development.

Here, too, the company strives for nothing less than best practice in its business conduct and professionalism, its integrity, accountability, and its long-term commitment to national best interests.

In every respect, Total Kenya aims to achieve the maximum quality and benefit that is physically possible. The difference between the lowest standard permitted and the highest standard achievable is enormous. This commitment is strongly represented by the name of Total Kenya's in-house team spirit - "Total Attitude!"

IN ADDITION

Total Kenya looks beyond its business operations and relationships - what more can it do, where can it give the most effective help - in the pillar issues of environment, health, education, culture... These projects involve Total people as well as Total money, and are carefully chosen for their real social merit.

ENVIRONMENT

Total Kenya passionately believes that the most important single factor in Kenya's welfare and future prospects is a healthy environment. If Kenya can look after its forests and lakes and rivers, and therefore its climate and soil and water security, it will be better able to face any and all internal and external challenges.

In counterpoint, if it fails to create and maintain a healthy environment, its future will be imperiled - come what may. These stark principles supersede any other topical detail of national policy or practice.

In parallel, Total Kenya believes the single greatest threat to Kenya's environment is deforestation (a critical mass of trees is crucial to stable climate, fresh air, abundant water and fertile soil). And yet, the current and foreseeable reality is that Kenya needs to use wood - in vast quantities - as a primary source of energy for cooking and heating, and as a raw material for production and construction.

In response to this dichotomy, Total Kenya has devised a unique campaign called the "Total Eco Challenge", to encourage the planting of trees...outside forests...for sustainable use! Through awareness, inspiration, awards, and technical support, the Total Eco Challenge has become the platform for the biggest tree-

planting initiative Kenya has ever seen, so far embracing more than 3,000 projects directly involving 3 million people, and planting a total of more than half-a-billion trees in its first seven years.

The target is to keep planting at least 100 million more trees per year, every year, for ever. Total Kenya stands alongside the people of Kenya - every man, woman and child, every organization - in this commitment.

The Eco Challenge slogan of “Miti ni Mali, Miti Tosha” has been further focused in the campaign call for “One person, One event, One tree”.

The Eco Challenge concept, which originated in Kenya, is now spreading to other countries. Total Kenya is regularly advising, internationally, on implementation of the campaign, through multimedia public education, production and distribution of informational materials, direct technical support for projects through a full-time forester, matching corporate funding to community needs, co-coordinating supply-demand balances and sources, dedicating retail outlets as Tree Centres for information and seedling supply, support for nurseries, staging stakeholder conferences, an annual gala awards system, appointment of Tree Ambassadors, website and hotlines services, and more, all driven by essential and over arching principles of sustainable development which Total Kenya has crystallized and which are applicable to any project, worldwide.

Total Kenya has also consistently supported conservation efforts especially the fencing of the Aberdares Forest through sponsorship of the Rhino Charge in partnership with the Rhino Ark Trust.

EDUCATION

While the Total Eco Challenge is reflexively listed under “Environment”, every aspect of its operations - awareness, inspiration, awards, and technical support - is also a public education campaign, delivering to millions of Kenyans a really practical, hands-on knowledge of tree species, seed collection, nurseries design and management, improved planting techniques, tree nurture, harvesting and use.

In literally hundreds of schools throughout Kenya, teachers and pupils are running Total Eco Challenge tree planting projects as part of the curriculum! In these and all other projects, people are not only growing trees; they are growing knowledge, about the trees themselves, their context in eco balances, about resource harvesting and commercial values.

Projects are not only nurturing seedlings, but also mind-sets and ideas. They are not only changing a landscape; they are giving the national culture a new dimension. Total Kenya also delivers on its educational responsibility in more conventional ways - most notably through in-house professional training of staff, through a youth programme called Franco-Fun, and in several projects which distribute French language learning materials to schools and colleges throughout Kenya.

Total Kenya has a Training and Development section anchored in its Human Resources Department and a well equipped training

centre. Core subjects include safety, technical, cross function and management skills.

In 2010, we achieved a total of 1963 training days and 51% of these were job related. 331 training days were dedicated to safety, 665 days to technical aspects and 967 days for cross functional trainings.

Total’s training has a strong international component, with staff from other parts of the world coming to learn in Kenya, and Kenyan staff receiving overseas training and exposure. In 2010 alone 15 members of staff benefited from out-of-country training while the company hosted 4 Group regional trainings. Total Kenya also runs French language courses to widen employees career horizons.

HEALTH

Total’s “Be Alive” programme focuses on HIV/AIDS awareness and prevention among staff and their home communities, with special emphasis on ensuring that those infected receive anti retro viral support, and enjoy equal work opportunity without stigma.

The company has a comprehensive peer counseling team and a busy programme of outreach action - participating in national conferences, sharing its experience with other companies through the Kenya Business Council and visiting support centres for both adults and children to give both emotional and material support.

The Be Alive Programme, which has been sustained for eight years, continues to champion the cause of the infected and the affected. Further, Total marks World Malaria Day in an event for staff and their families and communities, and distributes educational material and dipped nets to select schools. The treated mosquito nets, though under utilised, are scientifically recognized as the most effective protection against this endemic disease. These activities form part of Total Kenya’s annual calendar of events. Total Kenya has its own “Healthy Living” for all staff, with talks on lifestyle disciplines, nutrition, and common illnesses.

AND MORE...

Total initiated the “Spotlight on Kenyan Music” programme to platform the talents of budding musicians in partnership with Alliance Française. The ‘Franco Fun’ Quiz promotes the French language in an entertaining and award-giving series for schools. Total Kenya has formed a formidable league football team both to boost its team building efforts as well as to promote a healthy living culture.

Total is the founder sponsor and continues to lead the Total Kenya Motorshow in partnership with the Kenya Motor Industry Association. The bi-annual event has grown to be the largest exposition of its kind anywhere in middle Africa. It features some 90 motor display stands, a full schedule of action events, and attracts some 20,000 spectators.

The company is also a co-sponsor and official lubrication partner for the annual Africa Concours d’Elegance and Quattro Charge motoring events through our premier Petrol Engine Oil, TOTAL QUARTZ.

CHAIRMAN'S STATEMENT

"It is my pleasure to welcome you to the 57th Annual General Meeting of Total Kenya Limited and to present to you the Annual Report and Financial Statements for the company for the year ended 31 December 2010. I acknowledge with gratitude the support you shareholders have continued to extend to the company over the past years."

Hervé Allibert
Chairman

OPERATING ENVIRONMENT

The year 2010 was a year of recovery for most businesses after the global economic meltdown that was witnessed towards the end of 2008 and the first half of 2009. Kenya's economy recorded a higher growth compared to 2009 mainly due to ICT innovations, investments in infrastructure and positive effects of the East African integration. Services sector, which was the main driver in the previous years growth, has moderated while Agriculture and Industry recovered after two weak years. The advent of mobile money transfer has revolutionised livelihoods especially in the rural areas where flow of money has been made faster, easier and affordable.

Inflation remained within the single digit levels over the year due to increased food supply and cheaper cost of electricity. The Kenya shilling on the other hand remained fairly stable against the major world currencies.

The political scene witnessed a lot of activity especially in the run up to the enactment of the new constitution, which was promulgated in the month of August 2010.

TAARIFA YA MWENYEKITI

Ni fahari yangu kuwakaribisha kwenye kongamano la awamu ya 57 ya mkutano mkuu wa kila mwaka wa kampuni ya Total Kenya, na nina furaha kuwasilisha kwenu ripoti ya kila mwaka na taarifa za kifedha za kampuni katika kipindi cha mwaka uliomalizika tarehe 31 disemba 2010. Natoa shukrani zangu za dhati kwa wenye hisa kwa kuendelea kuisaidia kampuni hii.

MAZINGIRA YA KAZI

Mwaka 2010 ulikuwa mwaka ambapo biashara nyingi zilishuhudia ukuaji, hasa baada ya msukosuko wa kiuchumi uliokumba ulimwengu mwishoni mwa mwaka 2008, na nusu ya kwanza ya mwaka 2009. Katika kipindi hicho, uchumi wa Kenya ulisajilisha kiwango afueni cha ukuaji, ikilinganishwa na mwaka 2009, hasa kutokana na ubunifu katika teknolojia ya mawasiliano, uwekezaji katika muundo msingi pamoja na manuufa mengine yaliotokana na muungano wa Afrika Mashariki. Sekta za huduma, ambazo katika miaka ya awali zilichangia pakubwa katika ukuaji wa kiuchumi, zilifika huku sekta za kilimo na viwanda, ambazo zilikuwa zimedorora katika miaka miwili iliyotangulia zikiimarika. Ujio wa huduma wa kuhamisha pesa kwa njia ya simu pia umebadilisha mtindo wa maisha, haswa katika sehemu za mashinani, ambako wakazi sasa wanaweza kutuma na kupokea pesa kwa urahisi, haraka na tena kwa ada nafuu.

Mfumko wa bei ya bidhaa pia ulidhibitiwa chini ya asilimia 10 katika kipindi hicho, kufuatia kuongezeka kwa wasilisho la vyakula pamoja na gharama nafuu ya umeme. Kwa upande mwingine shilingi ya Kenya iliendelea kuwa imara kwa kiasi dhidi ya sarafu kuu za kimataifa.

Katika nyanja ya kisiasa, mengi yalishuhudiwa hasa kabla ya kupitishwa kwa katiba mpya, ambayo hatimaye iliratibishwa kirasmi mwezi Agosti mwaka 2010.



Blending quality lubricants for the region

This was a significant milestone in the country as its full implementation will improve governance and ensure continuity in the running of the affairs of the nation. This is a positive step for the business operating environment and will certainly boost investor confidence in the country.

As noted in the previous years, the local oil industry faced numerous challenges mainly due to erratic International oil prices and the usual challenges of limitation of the pipeline pumping capacity and the unreliability of the refinery. This situation was further aggravated by the introduction of price controls instead of allowing for a free trade where forces of supply and demand determine consumer prices. The price regulation introduced by the Government should serve the interests of both the consumer and the investor if all product cost factors are taken into account when arriving at the final retail price. We take note that this has not been the case since its introduction in December 2010.

PERFORMANCE

In spite of the many challenges that have become prevalent in the Oil Industry in Kenya, the company recorded an impressive result. These are the first full year results of the company after the acquisition of Chevron business in 2009.

Total Kenya global sales volume went up by 60% in 2010 to 972 KMT (607 KMT in 2009). This is mainly due to increased sales in all business channels except export and bulk and is attributable to positive effect of the merger. The increase in sales volume led to an increase in the company's inland market share from 16% in December 2009 to 27.1% in December 2010.

Turnover (gross sales) increased by 92% from Kshs.41.3 billion in 2009 to Kshs.79.2 billion in 2010 due to increase in sales coupled with increase in international oil prices.

Gross profit went up by 89% from Kshs.2.8 billion in 2009 to Kshs.5.3 billion in 2010 as a result of increased sales and improved margins in 2010 as compared to negative and depressed margins in the first quarter of 2009.

Operating expenses were controlled and were in line with projections.

Finance costs increased by 82% (Kshs 439 million) on account of increased financing needs resulting from increased working capital requirements and interest charged on medium term loan.

Hii ilikuwa hatua muhimu katika historia ya nchi hii, kwani utekelezaji wa katiba hiyo mpya utaboresha uongozi na kuhakikisha maswala ya kitaifa yanasimamiwa kwa uadilifu na uwazi. Katiba hiyo mpya pia inaweka msingi thabiti wa kuhakikisha kwamba kuna mazingira bora ya biashara hapa nchini, na hivyo kuwavutia wawekezaji, sio tu wa humu nchini bali pia wa kigeni.

Na kama ilivyobainika katika miaka ya awali, sekta ya mafuta hapa nchini ilikumbana na changamoto si haba, kwa sababu ya unyumbufu wa bei ya bidhaa hiyo muhimu katika soko la kimataifa, ukosefu wa uhakika katika shughuli za kiwanda cha kusafisha mafuta hapa nchini, pamoja na uwezo wa kampuni ya mabomba nchini wa kusafirisha kiasi cha mafuta kinachohitajika kwa wakati. Hali hii ilizidi kuwa mbaya kufuatia kuanzishwa kwa mfumo wa udhibiti wa bei, badala ya kuzingatia mfumo huria wa kibiashara ambapo bei ya bidhaa inategemea au kuamuliwa na ugavi na mahitaji. Udhibiti huo wa bei hata hivyo unapaswa kutilia maanani maslahi ya watumiaji bidhaa na pia wawekezaji, kwa kuzingatia gharama ya kutengeneza bidhaa, kabla ya kuafikia bei ya mwisho. Hata hivyo inasikitisha kwamba haya yote hayajitiliwa maanani tangu kuanzishwa kwa udhibiti huo mwezi disemba mwaka 2010.

UTENDAJI KAZI WA KAMPUNI

Licha ya changamoto nyingi zinazokumba sekta ya mafuta hapa nchini Kenya, kampuni ya Total ilisajilisha matokeo bora ya kibiashara katika kipindi hicho. Haya ndiyo matokeo ya kwanza kamilifu ya mwaka ya kampuni ya Total Kenya, tangu iliponunua biashara za kampuni ya Chevron mnamo mwaka 2009.

Mauzo ya kampuni yaliongezeka kwa asilimia 60 mnamo mwaka 2010, na kufikia 972KMT ikilinganishwa na 607 KMT katika mwaka wa 2009. Hii ni kutokana na kuimarika kwa mauzo katika vitengo vyote vya kampuni, isipokuwa mauzo ya nje, hali ambayo ilitokana na kuunganishwa kwa shughuli za kampuni hizo mbili.

Kuongezeka kwa kiwango cha mauzo kulichangia kupanuka kwa soko la kampuni hapa nchini kutoka asilimia 16 mwezi disemba mwaka 2009 hadi asilimia 27.1 mnamo mwezi disemba mwaka 2010.

Mauzo jumla ya kampuni pia yaliongezeka kwa asilimia 92 kutoka shilingi za Kenya billioni 41.3 mnamo mwaka 2009 hadi shilingi billioni 79.2 mnamo mwaka 2010, hii ni kutokana na kuongezeka kwa mauzo pamoja na ongezeko la bei ya mafuta katika soko la kimataifa.

Faida jumla iliongezeka kwa asilimia 89 kutoka shilingi billioni 2.8 mnamo mwaka 2009 hadi shilingi billioni 5.3 katika mwaka wa 2010 kufuatia kuimarika kwa mauzo, ikilinganishwa na mwaka 2009. Gharama za matumizi zilizidhibitiwa kulingana na matarajio ya kampuni.

Gharama ya fedha iliongezeka kwa asilimia 82 na kufikia shilingi milioni 439 kufuatia kupanda kwa gharama ya mtaji pamoja na ushuru uliotozwa mikopo ya muda wa kadri.

CHAIRMAN'S STATEMENT

Profit before tax increased by 89% from Kshs.734 million in 2009 to Kshs.1,388 million in 2010 due to a higher increase in margins than the increase in operating expenses and finance costs. Consequently, profit after tax reached Kshs.916 million up from Kshs.483 million in 2009 and the earnings per share increased from Kshs.1.62 in 2009 to Kshs.3.07 in 2010.

INVESTMENTS

Total Kenya continued to invest in the country even after the acquisition of Chevron business in 2009. Most of the investments in 2010 were rebranding costs of the acquired stations to TOTAL norms, investment in depots to improve efficiency and ensure safety of products, remodelling of existing stations, purchase of LPG cylinders to increase our cylinder float and replacement of various equipment at consumer customer sites. Total is committed to the highest standards of operations at all our installations as evidenced by the increase in demand of the services offered at our service stations spread all over the country. We have planned to continue investing to ensure safety at all our installations, improve existing facilities and acquire new assets whenever profitable opportunities arise.

SOCIAL RESPONSIBILITY

Our company continues to be a forerunner in sustainable development through our Eco challenge initiative which has gained countrywide recognition. Through this project, the company continues to motivate and mobilize many thousands of tree-growing projects throughout Kenya consistently planting and exceeding the initial target of 100 million trees per year. The company is also involved in a campaign to sensitise its employees as well as the general public on the HIV/AIDS pandemic through the Be Alive Programme that focuses on prevention of infection as well as stigma eradication for those infected and affected. The campaign combines an elaborate workplace programme with community outreach mainly through our network of stations.

The campaign also focuses on the eradication of malaria especially amongst the most vulnerable groups with an outreach programme targeted at select primary schools in the country. Additionally, Total Kenya continues its involvement in road safety campaigns to sensitize motorists and the general public on safety procedures to be followed so as to reduce road carnage. The Northern Corridor road safety campaign in partnership with the World Bank underlines one such initiative.

PROSPECTS FOR 2011

The operating environment of the oil industry in Kenya is quite challenging and uncertain. With the introduction of price controls, it is not clear what other controls may be imposed by the Authorities. In addition, the International Oil prices are unpredictable and with turmoil in some Oil producing countries, oil supply to the country is likely to be affected. On the other hand, crude oil has been discovered in the neighbouring country of Uganda and exploitation of this natural resource will affect the oil industry in Kenya in the coming years. With all these factors at hand, we can only approach the future with guarded optimism. However, should the environment become more favourable and some of the challenges be addressed,

Faida kabla ya kulipa ushuru iliongezeka kwa asilimia 89 kutoka shillingi milioni 734 mnamo mwaka 2009 hadi shillingi milioni 1,388 katika mwaka wa 2010 kutokana na kuongezeka kwa mapato halisi, ikilinganishwa na gharama ya matumizi. Kwa hivyo, faida ya kampuni baada ya kulipa ushuru ilifikia shillingi milioni 916 kutoka shillingi milioni 483 mnamo mwaka 2009, huku mgawo wa hisa ukiongezeka kutoka shillingi 1 na senti 62 kwa kila hisa mnamo mwaka 2009 hadi shillingi 3 na senti 7 katika mwaka wa 2010.

UWEKEZAJI

Total Kenya iliendelea kuwekeza hapa nchini hata baada ya kununua biashara za kampuni ya Chevron mnamo mwaka 2009. Katika mwaka 2010, kampuni iliwekeza kiasi kikubwa cha pesa katika ubadilishaji chapa ya vituo vya kuza mafuta vilivyounuliwa, ujenzi na ununuzi wa maghala ya kuhifadhi bidhaa zetu ili kurahisisha shughuli zetu za biashara, na pia kuhakikisha usalama wa bidhaa zetu, kurembesha vituo vyetu vya mafuta vilivyoko, kununua mitungi ya kutosha ya gesi ya kupika, na pia kuweka vifaa vipya katika vituo vyetu vya kutoa ushauri na kuwahudumia wateja. Kampuni ya Total imejitolea kuendelea kutoa huduma za kiwango cha juu katika vituo vyake vyote, hali inayodhihirishwa na idadi ya wateja inayongezeka katika vituo vyetu kote nchini. Pia tumeweka mikakati kuimarisha usalama katika vituo vyetu vyote, na kununua vingine vipya, mradi vinaleta faida kwa kampuni.

JUKUMU LA KAMPUNI KWA JAMII

Kampuni yetu inaendelea kuwa msitari wa mbele katika kuunga mkono maendeleo endelevu, kupitia mradi wake wa hamasisho kuhusu umuhimu wa kuhifadhi wa mazingira ECO-CHALLENGE, ambao umepata umaarufu kote nchini. Kupitia mradi huo, kampuni yetu inaendelea kuelimisha na kuongoza maelfu ya watu katika upanzi wa miti kote nchini, na hata kupita lengo lake la awali la kupanda miti milioni 100 kwa mwaka. Kampuni yetu pia inaendesha kampeini ya kuwahamasisha sio tu wafanyikazi wake, bali wananchi kwa ujumla kuhusu athari za ugonjwa wa ukimwi, kupitia mpango wake kwa jina BE ALIVE, ambao unazingatia zaidi mbinu za kuzuia maambukizi mapya, na jinsi ya kukabiliana na unyanyapa miongoni mwa wale ambao tayari wameambukizwa virusi vya HIV, vinavyosababisha ugonjwa wa ukimwi.

Kampeni hii pia inazingatia ukabilianaji na ugonjwa wa Malaria haswa kwa walio hatarani zaidi huku tuikiwa na utaratibu wa mradi unaolenga shule za msingi zilizoteuliwa humu nchini. Kampuni ya Total pia inahusika katika kampeini ya kuwaelimisha wenye magari na wananchi kwa ujumla kuhusu usalama wa barabarani, katika jitihada za kupunguza ajali kwenye barabara zetu. Juhudi mojawepo ni mradi wa kutekeleza usalama wa barabarani (Northern Corridor road safety campaign) kwa ushirikiano na Benki ya Dunia.

MATARAJIO YA MWAKA 2011

Sekta ya mafuta hapa nchini inakabiliwa na changamoto nyingi, hasa kufuatia kuanzishwa kwa udhibiti wa bei katika sekta hii, hali ambayo imewaacha wengi wakijiuliza ni sekta ipi itafuatia katika kujumuishwa kwenye udhibiti huo. Unyumbufu wa bei ya mafuta katika soko la kimataifa, pamoja na msukosuko unaoghubika baadhi ya nchi zinazotoa mafuta kwa wingi duniani, pia huenda vikaathiri uagizaji mafuta hapa nchini. Kwa upande mwingine mafuta ghafi yamegunduliwa katika nchi jirani ya Uganda, na bila shaka uchimbaji wa mali asili hiyo muhimu ukianza, utaathiri sekta ya mafuta hapa nchini katika miaka ijayo. Kwa kuzingatia hali hizo zote, hatuna hakika kuhusu hali ya baadaye, japo tuna matumaini kwamba mambo yatakuwa shwari. Hata hivyo mazingira ya biashara yakiimarika, na baadhi ya changamoto hizi kushughulikiwa ipasavyo, kampuni yetu iko imara kibiashara na sina shaka kwamba itaendelea kusajilisha



Employee safety training

your company is well positioned to take full advantage of economic growth and deliver good results.

The company also plans to complement Government efforts in provision of electricity through the introduction of affordable solar lanterns that will be used by households for lighting as well as charging of mobile phones. To this end, I urge you shareholders to support this initiative that is already underway.

DIVIDENDS

In view of the challenges ahead, I am proposing a dividend of 1.05 Kenya Shilling per share for consideration and approval by the members.

ACKNOWLEDGEMENTS

The Company receives a lot of support and goodwill from our customers, dealers, transporters and other business partners. We thank them most sincerely for this. On behalf of the board, I wish to thank the Management and Staff for their commitment and contribution towards the satisfactory result achieved in 2010. To you the shareholders, I thank you for the confidence you have shown in us by choosing to invest in Total Kenya.

Finally, I wish to thank the members of the board of directors for their continued commitment and able support that has helped your company remain a major player in our market.

Hervé Allibert
Chairman

matokeo bora ya biashara.

Kampuni yenu ina mipango ya kushirikiana na serikali katika jitihada zake za kusambaza umeme kwa wananchi katika pembe zote za nchi hii kupitia utoaji wa taa nafuu zinazotumia nishati ya jua, kwa matumizi ya nyumbani na pia kumemesha simu za rununu. Hivyo basi nawahimiza nyinyi wenye hisa kuunga mkono mpango huo, ambao tayari unaendelea.

MGAWO WA FAIDA

Kutokana na changamoto zilizoko mbele, ninapendekeza mgawo wa faida wa shilingi 1 na senti tano kwa kila hisa, kwa wenye hisa kutafakari na kuidhinisha.

SHUKRANI

Kampuni yenu imepokea ungwaji mkono na pongezi kutoka kwa wateja, wauzaji wa bidhaa zetu, wachukuzi na washirika wengine wa kibiashara. Tunatoa shukrani zetu za dhati kwao. Kwa niaba ya halmashauri ya wakurugenzi wa kampuni, nawashukuru wasimamizi na wafanyikazi kwa juhudi na mchango wao, ambao uliiwezesha kampuni hii kusajilisha matokeo bora ya kibiashara katika mwaka wa 2010. Na kwenu wenye hisa, nawashukuru sana kwa kuonyesha amani kwetu, kwa kuwekeza katika kampuni ya Total Kenya.

Na katika kutamatisha taarifa yangu, ningependa kuishukuru sana halmashauri ya wakurugenzi kwa kuendelea kujitoa mhanga kuhudumia kampuni hii, pamoja na ushauri wao, ambao umeiwezesha kampuni hii kuendelea kuwa mdau mkuu kwenye sekta ya mafuta hapa nchini.

Hervé Allibert
Mwenyekiti

MANAGEMENT EXECUTIVES

STANDING:

From Left to Right: **Loic Thieblin** (*Marketing Manager*), **Chris Kasima** (*Exports & Strategy Manager*), **Charles Wambugu** (*Chief internal Auditor*), **Simon Oonge** (*Manager, Special Projects*), **Jean Francois Schoepp** (*Planning & Supply Manager*), **James Kamau** (*Health, Safety, Environment and Quality Manager*), **Tom Maganga** (*Operations Manager*) **Adele Tura** (*Human Resource and Administration Manager*)



MANAGEMENT EXECUTIVES

SEATED:

From Left to Right: Maurice K'Anjejo (*Corporate Affairs Manager*), Alexis Vovk (*Managing Director*), Daniel Mayieka (*Specialities Manager*), Franck Dessaintjean (*Finance Director*)



MANAGEMENT REPORT



Leadership in road safety initiatives

OVERVIEW OF THE 2010 FINANCIAL YEAR FOR TOTAL KENYA LIMITED

The operating environment for the oil industry in Kenya remained challenging with high and volatile international prices. The usual challenges experienced in the oil industry namely, pipeline pumping capacity limitation, the unreliability of the refinery to meet production requirements and queuing of ships at the port continued to persist occasioning stock outs in upcountry markets.

Kenyan Inland Petroleum consumption dropped by 1% in the year 2010 despite the estimated economic growth of 3.5%. The decline is attributed to the drop in consumption of Automated Diesel in the energy sector for the generation of electricity by 53%.

SUMMARY OF RESULTS

The company recorded commendable results in 2010 despite usual logistical constraints in the industry. This is the first full year performance of the company after acquisition of Chevron business in 2009.

Total Kenya global sales volume went up by 60% in 2010 (from 607 KMT in 2009 to 972KMT in 2010). This is mainly due to increased sales in the Network, Aviation, LPG and General Trade by 81%, 110%, 38% and 60% respectively due to the merger. The increase in sales volume led to an increase in the company's inland market share from 16% in December 2009 to 27.1% in December 2010.

Net turnover increased by 97% from Kshs.32.7 billion in 2009 to Kshs.64.4 billion in 2010 due to increase in sales coupled with increase in international oil prices. The price of crude increased from USD.77.50/barrel in January 2010 to USD.91.85 /barrel in December 2010.

Gross profit which represents 6.7% of turnover went up by 89% from Kshs.2,809 million in 2009 to Kshs.5,317 million in 2010 as a result of increased sales and positive margins realised in 2010 as compared to negative and depressed margins in the first Quarter of

2009. The unit margin contribution per litre remained depressed at Kshs.4.5 while unit contribution to net profit was Kshs.0.8/litre.

Operating expenses increased by 85% as compared to 2009. This is as a result of the merger and inflation impact.

Depreciation and amortisation increased by 147% as compared to 2009 due to the impact of acquired assets after the merger. Goodwill recognized after acquisition of Chevron business has now been reallocated to property, plant and equipment following valuation of the acquired assets that was completed at the end of the first quarter 2010.

Operating profit went up by 80% to Kshs.2,344 million, mainly driven by increase in sales, improved margins, controlled operating expenses and increase in other income. In compliance with conditions set by the Government before the acquisition of Chevron, the company disposed off specified assets that generated a net gain of Kshs 255 million hence the increase in other income.

Net Finance costs increased by 81% (Kshs 427 million) on account of increased financing needs resulting from increased working capital requirements and interest charged on medium term loan. Consequently, Profit before tax increased by 89% from Kshs.734 million in 2009 to Kshs.1,388 million in 2010, while profit after tax was Kshs.916 million from Kshs.483 million in 2009. The Earnings per share increased from Kshs.1.62 in 2009 to Kshs.3.07 in 2010 as a result of increase in Profit after tax.

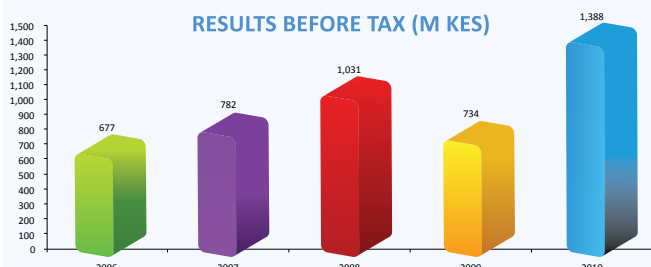
Investments during the year amounted to Kshs.748 million. The investments mainly related to Rebranding, supply of equipment and construction works at network stations, consumer and depot sites and purchase of LPG cylinders.

ANALYSIS BY BUSINESS CHANNELS

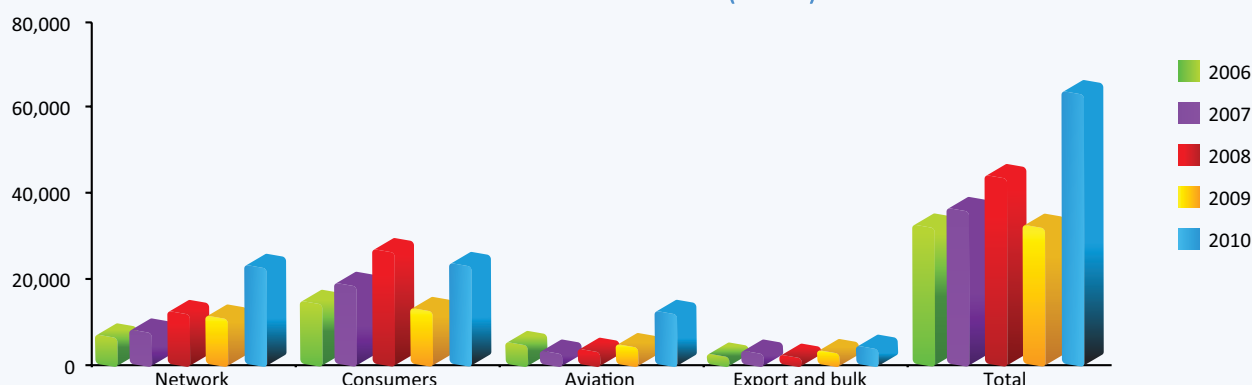
The company's four business channels are:

- The Network channel, which includes the distribution of petroleum products through service stations located across the country.
- The General Trade channel, which includes sales of a broad range of products to all sizes of industrial consumers;
- The Aviation channel, which comprises of sales of turbine kerosene and aviation gasoline to local and international air carriers;
- The Exports and Bulk channel, which comprises of sales of our

RESULTS BEFORE TAX (M KES)



NET SALES PER BUSINESS CHANNEL (M Kshs)



full range of products to neighbouring countries and other industry players.

NETWORK

The network market environment was still very competitive. In spite of the challenging conditions, sales in this channel registered a growth of 81% from 172 KMT in 2009 to 313 KMT in 2010. The growth in sales is mainly attributable to full operations of the merged business and market growth in this channel of 8%. Profitability of this channel improved as compared to 2009. The overall unit margins for the year were at acceptable levels. It is worth noting that the Government through Energy Regulatory Commission introduced price regulations in this channel with effect from December 2010.

The company disposed off 12 Network stations in 2010 in compliance with conditions set by the Government before the acquisition of Chevron. This led to reduction of the number of stations from 192 to 180. The company's objective is to continue investing in areas where population and traffic are growing. The range of our Non-oil services has continued to grow. They include: Convenient stores "Bonjour shops", Auto clean for Car wash and Auto express service for pit-stop.

The Bonvoyage card has remained popular amongst individuals and corporates and has ensured customer loyalty. Our objective is to remain competitive as we strive to fully meet the expectations of our customers.

Network - Key figures	2010	2009	% CHANGE
Number of service stations	180	192	-6%
Volumes Sold	313	172	81%
Turnover- net of taxes (KShs'million)	23,297	11,128	109%

GENERAL TRADE

The General Trade volumes increased by 45% compared to 2009 (378KMT in 2010 compared to 261 KMT in 2009) mainly attributed to the merger impact and increased sales volume of both White and Black products resulting from the growth in manufacturing, transport and agricultural sectors.

LPG volumes increased by 38% to 20 KT (2009 14KT) mainly due to merger impact. The sales of LPG were affected by the persistent product shortages at the refinery in the 3rd and 4th quarters of the year. However, there is still potential for growth in this segment.

Turnover in General Trade channel increased by 81% from Kshs.13.2 billion in 2009 to Kshs 24.0 billion in 2010 as a result of the increase in sales volumes coupled with the increase in international oil prices.

Consumer - Key figures	2010	2009	% CHANGE
Volumes Sold (excl. LPG) – KMT	378	261	45%
Turnover- net of taxes (Kshs'million)	23,987	13,253	81%

AVIATION

The Aviation volumes increased by 110% compared to 2009 (194.1KMT in 2010 compared to 92.6KMT in 2009). The increase is mainly due to the impact of merged operations, acquisition of new customers and growth in the tourism sector.

The increase in volumes sold coupled with increase in international prices led to an increase in turnover, from Kshs 4.8 billion in 2009 to Kshs 12.8 billion in 2010.

Aviation - Key figures	2010	2009	% CHANGE
Volumes Sold (KMT)	194.1	92.6	110%
Turnover- net of taxes	12,771	4,813	165%

EXPORTS AND BULK

Exports business has been adversely affected by product unavailability occasioned by the unreliability of the refinery. However, sales made in this channel generated acceptable margins. Bulk sales to competitors are unpredictable and are subject to winning oil industry importation tenders.

Export sales increased by 91% from 18.9 KMT in 2009 to 36.1KMT in 2010 and Bulk sales decreased from 45.2KMT in 2009 to 27.6 KMT in 2010. Consequently, turnover generated by these activities increased by 24% from Kshs.3,483 million in 2009 to Kshs.4,306 million in 2010.

FINANCIAL POSITION

In 2010, Total Kenya continued with an aggressive financial management strategy, with focus on controlling working capital elements and sourcing for the lowest possible financing options. The Kenya shilling remained stable to the US Dollar for most of the year. The average Treasury bill rate declined in the year closing at 2.28%.

MANAGEMENT REPORT

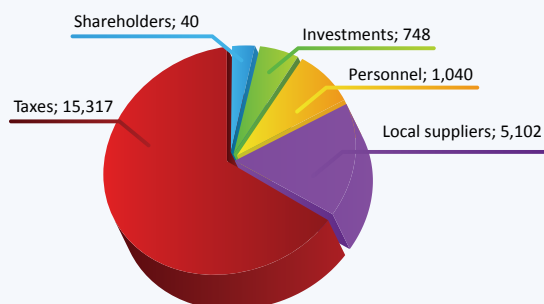
As a result of the efforts put in managing our financial position, cash flow generated from operating activities was Kshs.6, 011 million compared to Kshs.377 million in 2009. Cash flow used in investing activities was Kshs.407 million compared to Kshs.10,755 million in 2009 used to finance the purchase of Chevron.

STATEMENT OF FINANCIAL POSITION:

The revaluation of assets was successfully completed as at end of the first quarter 2010. As a result, Goodwill that arose from the purchase of Chevron was allocated to cash generating business units. This increased the intangible assets by Mkshs.5,980 and reduced Goodwill from Mkshs.6,397 to Mkshs.417.

CONTRIBUTION TO THE KENYAN ECONOMY

Total Kenya has remained a key player in the Kenyan oil industry and the economy as a whole. During the year under review, the company continued to make a significant contribution to the Kenyan economy as it carried on with its business and corporate social responsibility activities. Total Kenya remained at the top on the list of the biggest tax payers in the country, having paid direct and indirect taxes of over Kshs 15.3 billion (Kshs 8.9 billion in 2009). The total financial impact on the economy in 2010 was Kshs 22.2 billion (2009 Kshs 14.3 billion) comprising the following in Mkshs:



2011 Management Agenda:

Total Kenya still believes in good growth potential which presents opportunities for improvement on every aspect of our business. The Management is confident that the company has positioned itself to register improved performance especially in the network and general trade market segments. However, this performance will depend on economic growth, stability of world crude prices and concerted effort by the Government and other parties to address the supply constraints experienced in the oil industry

In 2011 we will continue on our journey of delivering quality products and services profitably and be responsive to the community.

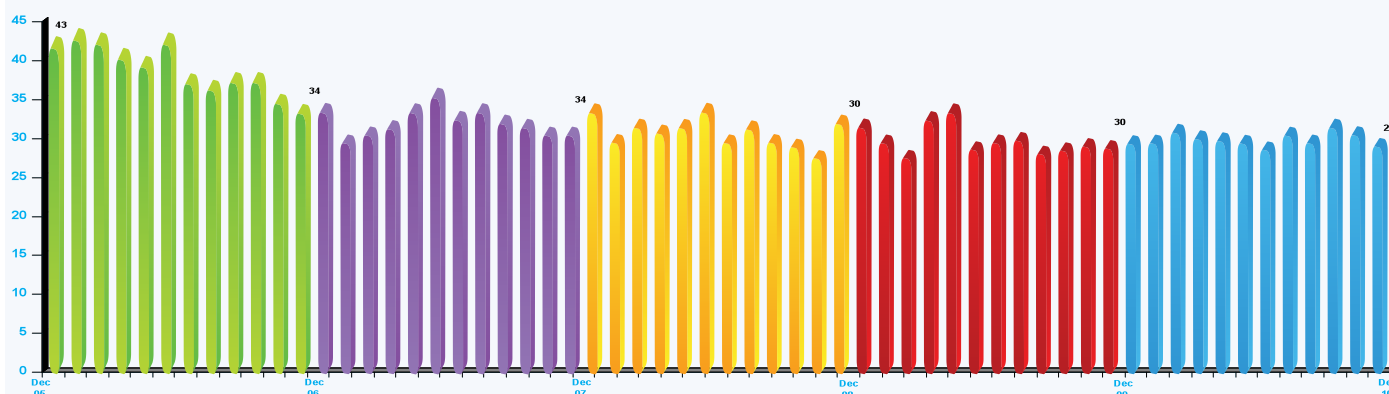
Therefore the management will:

- Focus on achieving the company's mission of delivering quality products and services to our customers responsibly and profitably in an innovative way.
- Ensure safety standards at all company installations.
- Continue to harness the opportunities in the market and enhance profitable growth.
- Maintain good control over costs.
- Continue to attract, develop and retain best talent.
- Reinforce the brand through expansion, physical image, external recognition and community commitment.

SHARE PRICE EVOLUTION

In 2010, Total Kenya share price traded between Kshs 28 and Kshs 33 per share. The shares continued to register one of the highest dividend yields at the Nairobi Stock Exchange.

**TOTAL KENYA SHARE PRICE (Kshs)
MONTHLY CLOSING RATES (Dec 05 to Dec 10)**



SHAREHOLDERS ANALYSIS

TOP 10 SHAREHOLDERS

Rank	Name	Shares Held	Percentage
1	Total Outre-Mer	249,805,458	83.67
2	Total Africa Limited	10,732,950	3.60
3	Kimani, John Kibunga	3,589,608	1.20
4	Shah, Rajesh Dharamshi	1,728,386	0.58
5	Kibirichia Stores Limited	648,500	0.22
6	Cannon Assurance (Kenya) Limited	604,800	0.20
7	Benjamin, Emmett Joseph	570,900	0.19
8	The Jubilee Insurance Company of Kenya Limited	566,736	0.19
9	Rahim, Ahmed Mian Abdur	459,960	0.15
10	Phoenix Of East Africa Assurance Company Limited	450,000	0.15
		269,157,298	90.15

SHARE DISTRIBUTION SCHEDULE

i) BY NUMBER OF SHARE RANGE

Range	No. of Members	Total No. of Shares	Percentage
1 - 500	2,267	549,456	0.18
501 - 1,000	1,122	964,413	0.32
1,001 - 5,000	1,825	4,748,237	1.59
5,001 - 10,000	522	3,940,617	1.32
10,001 - 50,000	388	8,306,811	2.78
50,001 - 100,000	75	5,155,563	1.73
100,001 - 500,000	40	6,630,659	2.22
500,001 - 1,000,000	4	2,390,936	0.80
1,000,001 - 999,999,999,999	4	265,856,402	89.05
6,247		298,543,094	100.00

ii) BY CATEGORY OF SHAREHOLDER

No. of Members	Group	Total Quantity	Percentage
87	FOREIGN INVESTORS	261,286,616	87.521
5,830	E.A.P.S. INDIVIDUALS	29,870,070	10.005
510	E.A.P.S INSTITUTIONS	7,386,408	2.474
6,247	TOTALS	298,543,094	100.00

INDEPENDENT AUDITORS' REPORT



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REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of Total Kenya Limited, set out on pages 25 to 64 which comprise the statement of financial position as at 31 December 2010, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 31 December 2010 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- iii) the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss) are in agreement with the books of account.

Certified Public Accountants (Kenya)
9th March 2011

Partners: S.O. Onayngo F.O. Aloo H. Gadhoke* N.R.Hira* B.W. Irungu J.M. Kiarie D.M. Mbogho A.N. Muraya J. Nyang'aya J.W. Wangai
*British

STATEMENT OF COMPREHENSIVE INCOME

For the year ended December 31,	2010 Kshs'000	2009 Kshs'000
Gross sales	79,206,640	41,311,598
Indirect taxes and duties	(14,844,778)	(8,634,405)
Net sales (Note 3)	64,361,862	32,677,193
Cost of sales (Note 4)	(59,044,505)	(29,868,162)
Gross profit	5,317,357	2,809,031
Other income (Note 5)	567,683	283,285
Other operating expenses (Note 6)	(2,564,299)	(1,387,542)
Finance income (Note 7(a))	23,267	11,614
Finance costs (Note 7(b))	(976,913)	(538,000)
Exchange loss (Note 7(c))	(2,326)	(48,826)
Depreciation (Note 12)	(774,431)	(324,196)
Amortisation of prepaid operating leases (Note 13)	(66,162)	(40,264)
Amortisation of intangible assets (Note 15)	(135,751)	(31,403)
Profit before taxation	1,388,425	733,699
Taxation (Note 9)	(472,220)	(251,114)
Profit for the year and total comprehensive income	916,205	482,585
Earnings per share (basic and diluted) (Note 10)	Kshs 3.07	Kshs 1.62

STATEMENT OF FINANCIAL POSITION

As at December 31,	2010 Kshs'000	2009 Kshs'000
ASSETS		
Non-current assets		
Property, plant and equipment (Note 12)	8,978,227	3,443,843
Prepaid operating leases (Note 13)	596,049	556,076
Goodwill (Note 14)	416,679	6,396,651
Intangible assets (Note 15)	67,729	118,596
Other assets (Note 16)	70,417	108,916
Deferred tax asset (Note 17)	131,999	113,444
Total non-current assets	10,261,100	10,737,526
Current assets		
Inventories (Note 18)	9,516,941	7,876,468
Trade and other receivables (Note 19)	7,991,703	10,818,534
Due from related companies (Note 20(i))	1,550,448	1,540,785
Other assets (Note 16)	38,499	45,229
Bank and cash balances (Note 27(ii))	874,673	509,654
	19,972,264	20,790,670
Assets classified as held for sale (Note 21)	142,313	-
Total current assets	20,114,577	20,790,670
TOTAL ASSETS	30,375,677	31,528,196
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital (Note 22)	4,774,771	4,774,771
Share premium (Note 23)	1,967,520	1,967,520
Revenue reserve	2,837,562	2,219,900
Shareholders' equity	9,579,853	8,962,191
Non current liabilities		
Medium term loan (Note 24)	3,276,000	3,978,000
Total non current liabilities	3,276,000	3,978,000
Current liabilities		
Medium term loan (Note 24)	702,000	702,000
Trade and other payables (Note 25)	10,274,977	8,371,069
Due to holding company (Note 29(ii))	362,938	180,622
Due to related companies (Note 20(ii))	81,188	72,915
Unpaid dividends (Note 11)	6,977	7,072
Short term bank borrowings (Note 26)	5,897,375	9,182,595
Tax payable (Note 9 (iii))	194,369	71,732
Total current liabilities	17,519,824	18,588,005
TOTAL EQUITY AND LIABILITIES	30,375,677	31,528,196

The financial statements on pages 25 to 64 were approved by the board of directors on 9 March 2011 and were signed on its behalf by:

Alexis Vovk



Director

Franck Dessaintjean



Director

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2010

	Share capital Kshs'000	Share premium Kshs'000	Revenue reserve Kshs'000	Total equity Kshs'000
As of 1 January 2009	875,324	1,967,520	2,174,978	5,017,822
Issued share capital (note 22)	3,899,447	-	-	3,899,447
Dividends declared – 2010 (note 11)	-	-	(437,663)	(437,663)
Profit for the year and total Comprehensive income	-	-	482,585	482,585
As of 31 December 2009	4,774,771	1,967,520	2,219,900	8,962,191
As of 1 January 2010	4,774,771	1,967,520	2,219,900	8,962,191
Dividends declared – 2010 (note 11)	-	-	(298,543)	(298,543)
Profit for the year and total Comprehensive income	-	-	916,205	916,205
As of 31 December 2010	4,774,771	1,967,520	2,837,562	9,579,853

STATEMENT OF CASH FLOWS

For the year ended December 31,	2010 Kshs'000	2009 Kshs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations (Note 27 (i))	6,379,455	688,345
Taxation paid (Note 9(iii))	(368,138)	(310,851)
Net cash generated from operating activities	6,011,317	377,494
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment (Note 12)	(539,983)	(138,017)
Purchase of prepaid operating leases (Note 13)	(122,936)	-
Purchase of intangible assets (Note 15)	(82,982)	(1,913)
Proceeds on disposal of property, plant and equipment and prepaid operating leases	339,107	1,513
Net cash outflow on acquisition of Total Marketing Kenya Limited (Note 28(v))	-	(10,616,281)
Net cash used in investing activities	(406,794)	(10,754,698)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid (Note 7)	(976,913)	(538,000)
Interest received (Note 7)	23,267	11,614
Dividends paid (Note 11)	(298,638)	(445,983)
Medium term loan received (Note 24)	-	4,680,000
Medium term loan repaid (Note 24)	(702,000)	-
Proceeds from issue of redeemable Preference shares (Note 22)	-	3,899,447
Other assets (Note 16)	-	(154,145)
Net cash (used in)/generated from financing activities	(1,954,284)	7,452,933
Net increase/(decrease) in cash and cash equivalents	3,650,239	(2,924,271)
Bank overdraft acquired through business combination	-	(2,256,000)
Cash and cash equivalents as at 1 January	(8,672,941)	(3,492,670)
Cash and cash equivalents as at 31 December (Note 27(ii))	(5,022,702)	(8,672,941)

REPORT ON THE FINANCIAL STATEMENTS

1. ACCOUNTING POLICIES

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards.

For the Kenyan Companies Act reporting purposes in these financial statements, the balance sheet is represented by/ equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC)

(a) Relevant new and revised IFRS affecting amounts reported in the current year (and /or prior years)

The following new and revised IFRSs have been applied in the current period and have affected the amounts reported in these financial statements.

- Amendments to IFRS 5 Non-current Assets Held for Sale and Discontinued Operations (as part of Improvements to IFRSs issued in 2009)
- Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2009)
- Amendments to IAS 7 Statement of Cash Flows (as part of Improvements to IFRSs issued in 2009)
- Amendments to IFRS 7 Financial Instruments: Disclosures (as part of Improvements to IFRSs issued in 2010)
- Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2010)
- IFRS 3 (Revised 2008), Business Combinations – comprehensive revision on applying the acquisition method (Effective for annual periods beginning on or after 1 July 2009)
- IAS 27, Consolidated and Separate Financial Statements; IAS 28, Investments in Associates; and IAS 31, Interests in Joint Ventures – consequential amendments arising from amendments to IFRS 3
- (Effective for annual periods beginning on or after 1 July 2009).

Impact of the relevant new and revised standards and interpretations in issue

Amendments to IFRS 5 Non-current Assets Held for Sale and Discontinued Operations (as part of Improvements to IFRSs issued in 2009)

The amendments to IFRS 5 clarify that the disclosure requirements in IFRSs other than IFRS 5 do not apply to non-current assets (or disposal groups) classified as held for sale or discontinued operations unless those IFRSs require (i) specific

disclosures in respect of non-current assets (or disposal groups) classified as held for sale or discontinued operations, or (ii) disclosures about measurement of assets and liabilities within a disposal group that are not within the scope of the measurement requirement of IFRS 5 and the disclosures are not already provided in the financial statements.

Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2009)

The amendments to IAS 1 clarify that the potential settlement of a liability by the issue of equity is not relevant to its classification as current or noncurrent.

This amendment has had no effect on the amounts reported in prior years because the company has not previously issued instruments of this nature.

Amendments to IAS 7 Statement of Cash Flows (as part of Improvements to IFRSs issued in 2009)

The amendments to IAS 7 specify that only expenditures that result in a recognised asset in the statement of financial position can be classified as investing activities in the statement of cash flows.

Amendments to IFRS 7 Financial Instruments: Disclosures (as part of Improvements to IFRSs issued in 2010)

The amendments to IFRS 7 clarify the required level of disclosures about credit risk and collateral held and provide relief from disclosures previously required regarding renegotiated loans.

Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2010)

The amendments to IAS 1 clarify that an entity may choose to present the required analysis of items of other comprehensive income either in the statement of changes in equity or in the notes to the financial statements

IFRS 3 (revised in 2008) Business Combinations

The impact of the application of IFRS 3(2008) is as follows.

- IFRS 3(2008) allows a choice on a transaction-by-transaction basis for the measurement of non-controlling interests at the date of acquisition (previously referred to as 'minority' interests) either at fair value or at the non-controlling interests' share of recognised identifiable net assets of the acquiree.
- IFRS 3(2008) changes the recognition and subsequent accounting requirements for contingent consideration. Previously, contingent consideration was recognised at the acquisition date only if payment of the contingent consideration was probable and it could be measured reliably; any subsequent adjustments to the contingent consideration were always made against the cost of the acquisition.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

1. ACCOUNTING POLICIES (Continued)

- Under the revised Standard, contingent consideration is measured at fair value at the acquisition date; subsequent adjustments to the consideration are recognised against the cost of the acquisition only to the extent that they arise from new information obtained within the measurement period (a maximum of 12 months from the acquisition date) about the fair value at the date of acquisition. All other subsequent adjustments to contingent consideration classified as an asset or a liability are recognised in profit or loss.
- IFRS 3(2008) requires the recognition of a settlement gain or loss when the business combination in effect settles a pre-existing relationship between the company and the acquiree.
- IFRS 3(2008) requires acquisition-related costs to be accounted for separately from the business combination, generally leading to those costs being recognised as an expense in profit or loss as incurred, whereas previously they were accounted for as part of the cost of the acquisition.

As part of Improvements to IFRSs issued in 2010, IFRS 3(2008) was amended to clarify that the measurement choice regarding non-controlling interests at the date of acquisition (see above) is only available in respect of non-controlling interests that are present ownership interests and that entitle their holders to a proportionate share of the entity's net assets in the event of liquidation. All other types of non-controlling interests are measured at their acquisition-date fair value, unless another measurement basis is required by other Standards.

In addition, as part of Improvements to IFRSs issued in 2010, IFRS 3(2008) was amended to give more guidance regarding the accounting for share-based payment awards held by the acquiree's employees. Specifically, the amendments specify that share-based payment transactions of the acquiree that are not replaced should be measured in accordance with IFRS 2 Share-based Payment at the acquisition date ('market-based measure').

(b) Relevant new and revised IFRSs in issue but not yet effective

- IFRS 7, Financial Instruments: Disclosures - amendments enhancing disclosures about transfers of financial assets (Effective for annual periods beginning on or after 1 January 2011)
- IFRS 9, Financial Instruments - Classification and Measurement (Effective for annual periods beginning on or after 1 January 2013)
- IAS 24, Related Party Disclosures - revised definition of related parties (Effective for annual periods beginning on or after 1 January 2011)
- IAS 32, Financial Instruments: Presentation - amendments relating to classification of rights issues (Effective for annual periods beginning on or after 1 February 2010)
- IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments (Effective for annual periods beginning on or after 1 July 2010)

Impact of the relevant new and revised IFRSs in issue but not yet effective

The amendments to IFRS 7 titled Disclosures Transfers of Financial Assets

These increase the disclosure requirements for transactions involving transfers of financial assets. These amendments are intended to provide greater transparency around risk exposures when a financial asset is transferred but the transferor retains some level of continuing exposure in the asset. The amendments also require disclosures where transfers of financial assets are not evenly distributed throughout the period.

IFRS 9, Financial Instruments

IFRS 9 Financial Instruments issued in November 2009 and amended in October 2010 introduces new requirements for the classification and measurement of financial assets and financial liabilities and for derecognition.

- IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.
- The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability.
- Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of

1. ACCOUNTING POLICIES (Continued)

the financial liability designated as at fair value through profit or loss was recognised in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that IFRS 9 that will be adopted in the company's financial statements for the annual period beginning 1 January 2013 and that the application of the new Standard will have a significant impact on amounts reported in respect of the company's financial assets and financial liabilities. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

IAS 24 Related Party Disclosures (as revised in 2009)

This modifies the definition of a related party and simplifies disclosures for government-related entities.

The disclosure exemptions introduced in IAS 24 (as revised in 2009) do not affect the company because the company is not a government-related entity. However, disclosures regarding related party transactions and balances in these financial statements may be affected when the revised version of the Standard is applied in future accounting periods because some counterparties that did not previously meet the definition of a related party may come within the scope of the Standard.

The amendments to IAS 32 titled Classification of Rights Issues

These address the classification of certain rights issues denominated in a foreign currency as either an equity instrument or as a financial liability. To date, the company has not entered into any arrangements that would fall within the scope of the amendments. However, if the company does enter into any rights issues within the scope of the amendments in future accounting periods, the amendments to IAS 32 will have an impact on the classification of those rights issues.

IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments

This provides guidance regarding the accounting for the extinguishment of a financial liability by the issue of equity instruments. To date, the company has not entered into transactions of this nature. However, if the company does enter into any such transactions in the future, IFRIC 19 will affect the required accounting. In particular, under IFRIC 19, equity instruments issued under such arrangements will be measured at their fair value, and any difference between the carrying amount of the financial liability extinguished and the fair value of equity instruments issued will be recognised in profit or loss.

a. Basis of preparation

The financial statements have been prepared on the historical cost basis of accounting except for the revaluation of certain non-current assets and financial instruments. The financial statements are presented in Kenya Shillings (Kshs) thousands.

b. Revenue recognition

Turnover, which represents sales to external customers during the year, is recognised upon delivery of products and customer acceptance and is stated net of value added tax, returns and rebates.

Interest income is recognised when it accrues, by reference to the principal outstanding and the interest rate applicable. All other revenues are recognised at the time goods are supplied or services are provided.

Throughput fees represent fees charged on the volumes lifted by the various shippers hosted by the Company at its depot and are recognized upon the delivery of products.

All other revenues are recognised at the time goods are supplied or services are provided.

c. Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred by the company, liabilities incurred by the company to the former owners of the acquiree and the equity interests issued by the company in exchange for control of the acquiree. Acquisition-related costs are generally recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date, except that:

- deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively;
- liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the company entered into to replace share-based payment arrangements of the acquiree are measured in
- accordance with IFRS 2 Share-based Payment at the acquisition date (see 3.16.2); and
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that Standard.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

1. ACCOUNTING POLICIES (Continued)

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed. If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a bargain purchase gain.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

When the consideration transferred by the company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively, with corresponding adjustments against goodwill.

Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on how the contingent consideration is classified. Contingent consideration that is classified as equity is not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent consideration that is classified as an asset or a liability is remeasured at subsequent reporting dates in accordance with IAS 39, or IAS 37 Provisions, Contingent Liabilities and Contingent Assets, as appropriate, with the corresponding gain or loss being recognised in profit or loss.

When a business combination is achieved in stages, the company's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date (i.e. the date when the company obtains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising

from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the company reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date.

d. Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the company's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss in the statement of comprehensive income. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

e. Leasehold land

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

f. Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is calculated to write off the cost of property, plant and equipment in equal annual installments over their estimated useful lives.

1. ACCOUNTING POLICIES (Continued)

The annual rates in use are:

Freehold land	Nil
Buildings	2% - 15%
Plant, motor vehicles and other equipment	5% - 25%
Furniture, fittings and office equipment	10% - 33.3%

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

The gain or loss arising on disposal or retirement of an item of property, plant and equipment is determined as the difference between the actual proceeds and the carrying amount of the asset and is recognised in the profit or loss in the year in which the disposal or retirement occurs.

g. Intangible assets

(i) Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

(ii) Intangible assets acquired in a business combination

Intangible assets acquired in a business combination and recognised separately from goodwill are initially recognised at their fair value at the acquisition date (which is regarded as their cost).

Subsequent to initial recognition, intangible assets acquired in a business combination are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

Impairment of tangible and intangible assets other than goodwill

At the end of each reporting period, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years.

A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

h. Non-current assets held for sale

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing

NOTES TO THE FINANCIAL STATEMENTS (Cont')

1. ACCOUNTING POLICIES (Continued)

use. This condition is regarded as met only when the sale is highly probable and the non-current asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

When the company is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the company will retain a non-controlling interest in its former subsidiary after the sale.

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of their previous carrying amount and fair value less costs to sell.

i. Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises purchase price and other costs incurred to bring the inventories to their present location and condition, together with refining costs as appropriate. For products refined locally, costs are allocated over the refinery output in proportion to the appropriate world market prices. Net realisable value is the estimate of the selling price in the ordinary course of business. Specific provision is made for obsolete, slow moving and defective inventories less the estimated costs of completion and the estimated costs to make the sale.

j. Financial instruments

Financial assets and financial liabilities are recognised when a the company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition.

Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

Financial assets

Financial assets are classified into the following specified categories: financial assets 'at fair value through profit or loss' (FVTPL), 'held-to-maturity' investments, 'available-for-sale' (AFS) financial assets and 'loans and receivables'. The classification depends on the nature and purpose of

the financial assets and is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

Accounts receivables

Accounts receivables are carried at anticipated realisable value. An estimate is made for doubtful receivables based on the review of all outstanding amounts at the year end. Bad debts are written off when all reasonable steps to recover them have failed.

Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by a company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the company are recognised at the proceeds received, net of direct issue costs. Repurchase of the Company's own equity instruments is recognised and deducted directly in equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Company's own equity instruments.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at FVTPL' or 'other financial liabilities'.

Other financial liabilities

Other financial liabilities (including borrowings) are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

1. ACCOUNTING POLICIES (Continued)

k. Foreign currencies

Assets and liabilities denominated in foreign currency are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date.

Transactions during the year are converted into Kenya Shillings at the rates ruling on the transaction dates.

Gains and losses on conversion and translation are dealt with in the statement of comprehensive income.

l. Operating leases

Payments made under operating leases are charged to the statement of comprehensive income on a straight line basis over the period of the lease. Any payment required to be made to the lessor by way of penalty, for termination of lease before the expiry of the lease period, is recognised in the year in which termination takes place.

m. Taxation

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred taxation is provided, under the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred tax.

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unusual tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilised.

n. Retirement benefit costs

The company operates a locally registered defined contribution pension fund, an off-shore defined contribution retirement benefits scheme and a defined benefit scheme for its employees. The assets of the schemes are held in separate trustee administered funds.

The schemes are funded by payments from both the employees and the company. Benefits are paid to retiring staff in accordance with the rules of the respective scheme.

Payments to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions.

For defined benefit retirement benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at the end of each reporting period. Actuarial gains and

losses that exceed 10 per cent of the greater of the present value of the company's defined benefit obligation and the fair value of plan assets as at the end of the prior year are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to the extent that the benefits are already vested, and otherwise is amortised on a straight-line basis over the average period until the benefits become vested.

The retirement benefit obligation recognised in the statement of financial position represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and as reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

The company also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to a maximum of Kshs 200 per employee per month.

Contributions by the company in respect of retirement benefit costs are charged to profit or loss in the year to which they relate.

Employees' entitlements to annual leave are charged to profit or as they fall due.

o. Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared.

p. Cash and cash equivalents

Cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which are within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

Cash on hand and in banks and short term deposits which are held to maturity are carried at cost plus interest earned but not yet received at the balance sheet date.

q. Earnings per share

Earnings per share are calculated by dividing the net income by the weighted average number of ordinary shares outstanding during the year.

r. Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

2. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the company's accounting policies, which are described in note 1, the directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

(a) Critical judgements in applying accounting policies

There are no critical judgements, apart from those involving estimations (see b below), that the directors have made in the process of applying the entity's accounting policies and that have the most significant effect on the amounts recognised in financial statements.

(b) Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

Impairment of goodwill

Determining whether goodwill is impaired requires an estimation of the value in use of the cash-generating units to which goodwill has been allocated. The value in use calculation requires the directors to estimate the future cash flows expected to arise from the cash-generating unit and a suitable discount rate in order to calculate present value.

Useful lives of property, plant and equipment

The company reviews the estimated useful lives of property, plant and equipment at the end of each reporting period.

3. NET SALES ANALYSIS

The major part of the business of the company falls under the category of sale of petroleum products with other income comprising less than 5% of the total income. Segment reporting is therefore not applicable. Net sales by business channel are shown below.

(i) Business channels

For the year ended December 31,	2010 Kshs'000	2009 Kshs'000
General trade	23,987,456	13,253,379
Network	23,297,337	11,127,810
Aviation	12,771,349	4,813,270
Export and bulk	4,305,720	3,482,734
Total net sales	64,361,862	32,677,193
(ii) Geographical analysis		
Local sales	61,350,869	31,159,836
Export sales	3,010,993	1,517,357
Total net sales	64,361,862	32,677,193

NOTES TO THE FINANCIAL STATEMENTS (Cont')

4. COST OF SALES

For the year ended December 31,	2010 Kshs'000	2009 Kshs'000
Product purchases	53,372,132	27,812,146
Other variable costs	5,672,373	2,056,016
Total cost of sales	59,044,505	29,868,162

5. OTHER INCOME

Rents and commissions	126,700	91,558
Profit on disposal of property, plant and equipment	255,381	1,274
Throughput fees and other income	144,652	190,453
Bad debt recoveries	40,950	-
Total other income	567,683	283,285

6. OTHER OPERATING EXPENSES

Directors' emoluments – fees	1,600	1,600
- other emoluments	43,385	28,115
Payroll and staff (Note 8)	1,040,255	568,769
Repairs and maintenance	332,111	163,032
Technical assistance (Note 29(i))	258,380	170,609
Utilities	198,325	129,888
Operating lease rentals	197,857	85,520
Other expenses	120,621	21,518
Legal and other professional fees	114,592	55,778
Travelling and reception	80,161	58,759
Advertising and promotion	70,043	58,729
Impairment on receivables	61,140	14,468
Insurance	39,134	24,256
Auditor's emoluments	6,695	6,500
Total other operating expenses	2,564,299	1,387,542

7. (a) FINANCE INCOME

Interest income	23,267	11,614
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(b) FINANCE COSTS

Interest on borrowings	976,913	538,000
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(c) EXCHANGE LOSS

	2,326	48,826
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NOTES TO THE FINANCIAL STATEMENTS (Cont')

8. PAYROLL AND STAFF

For the year ended December 31,	2010 Kshs'000	2009 Kshs'000
Personnel expenses		
Wages and salaries	708,411	375,925
Pension costs – defined contribution plan	62,343	41,951
Pension costs – defined benefit plan	10,846	1,774
Staff medical costs	36,572	23,534
Staff training costs	21,207	8,622
Provision for accrued leave	1,656	639
Other costs	199,220	116,324
Total personnel expenses	1,040,255	568,769
Average number of employees (permanent staff)	386	377

9. TAXATION

(i) Taxation charge		
Current taxation based on adjusted profit for the year at 30%	490,775	269,766
Deferred taxation credit (Note 17(ii))	(18,555)	(18,652)
	472,220	251,114
(ii) Reconciliation of taxation charge to expected tax based on accounting profit		
Accounting profit before taxation	1,388,425	733,699
Tax at the applicable rate of 30%	416,528	220,110
Tax effect of expenses not deductible for tax	132,306	31,081
Tax effect of income not subject to tax	(76,614)	(77)
Taxation charge	472,220	251,114
(iii) Taxation payable		
Balance at 1 January	(71,732)	(112,817)
Charge to profit or loss	(490,775)	(269,766)
Payments during the year	368,138	310,851
Balance at 31 December	(194,369)	(71,732)

NOTES TO THE FINANCIAL STATEMENTS (Cont')

10. EARNINGS PER SHARE

Basic and diluted earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year, as shown below:

For the year ended December 31,	2010	2009
Profit after taxation (Kshs'000)	916,205	482,585
Basic earnings per share (Kshs)		
Weighted average number of ordinary and redeemable preference shares used in the calculation of basic earnings per share (In thousands of shares)	298,543	298,543
Basic earnings per share (Kshs)	3.07	1.62

For the purpose of calculating the earnings per share, the net profit has been allocated to ordinary shares and preference shares to the extent that each instrument shares in the earnings as if all the net profit for the year had been distributed.

Diluted earnings per share

The diluted earnings per share is the same as basic earnings per share as there were no potentially dilutive instruments outstanding at the end of the reporting period.

11. DIVIDENDS PER SHARE

In May 2010, a dividend of Kshs 1.00 per share amounting to Kshs 298 million, relating to the year ended 31 December 2009 was paid to shareholders.

a) In respect of the current year, the directors propose that a first and final dividend of Kshs 1.05 per share (2009: Kshs 1.00) be paid out to both ordinary and preference shareholders. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

b) The total estimated dividend to be paid is Kshs 313 million (2009: 298 million).

For the year ended December 31,	2010 Kshs'000	2009 Kshs'000
The movement in unclaimed dividend is as follows:		
At 1 January	7,072	15,392
Final dividend declared	298,543	437,663
Dividend paid	(298,638)	(445,983)
Balance at 31 December	6,977	7,072

Payment of dividends to members is subject to withholding tax at the rate of 5% for residents and 10% for non-residents. For locally incorporated companies, withholding tax is only deductible where the shareholding is below 12.5%.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

12. PROPERTY, PLANT AND EQUIPMENT

	Land and buildings	Plant, motor vehicles and office equipment	Furniture, fittings and office equipment	Capital work in Progress	Total
COST					
1 January 2009	977,109	2,843,636	315,772	137,307	4,273,824
Additions	29,226	30,756	5,810	72,225	138,017
Acquisition through business combination	1,074,959	2,606,024	330,308	110,479	4,121,770
Disposals	-	(2,879)	-	-	(2,879)
Transfer from work in progress	40,832	82,925	-	(123,757)	-
Reclassifications	(63,078)	101,323	(38,245)	-	-
31 December 2009	2,059,048	5,661,785	613,645	196,254	8,530,732
1 January 2010	2,059,048	5,661,785	613,645	196,254	8,530,732
Additions	60,235	406,259	30,700	42,789	539,983
Transfer from goodwill (note 14(b))	1,494,993	4,484,979	-	-	5,979,972
Disposals	(68,021)	(101,829)	(3,621)	(842)	(174,313)
Transfer from work in progress	9,801	154,554	3,120	(169,377)	(1,902)
Reclassification to assets held for sale	(120,213)	(300,660)	(4,424)	-	(425,297)
31 December 2010	3,435,843	10,305,088	639,420	68,824	14,449,175
DEPRECIATION					
1 January 2009	307,732	1,675,584	266,948	-	2,250,264
Charge for the year	26,158	275,156	22,882	-	324,196
Acquisition through business combination	592,172	1,652,870	270,027	-	2,515,069
Disposals	-	(2,640)	-	-	(2,640)
Reclassifications	6,558	27,693	(34,251)	-	-
31 December 2009	932,620	3,628,663	525,606	-	5,086,889
1 January 2010	932,620	3,628,663	525,606	-	5,086,889
Charge for the year	76,256	663,182	34,993	-	774,431
Disposals	(20,687)	(74,219)	(2,237)	-	(97,143)
Reclassification to assets held for sale	(63,617)	(226,268)	(3,344)	-	(293,229)
31 December 2010	924,572	3,991,358	555,018	-	5,470,948
NET BOOK VALUE					
31 December 2010	2,511,271	6,313,730	84,402	68,824	8,978,227
31 December 2009	1,126,428	2,033,122	88,039	196,254	3,443,843

Property, plant and equipment with a cost of Kshs 2,206,295,142 (2009 – Kshs 1,493,890,694) were fully depreciated as at 31 December 2010. The notional depreciation charge in respect of these property, plant and equipment amount to Kshs 603,755,045 (2009 – Kshs 458,625,053).

The capital work in progress relate mainly to construction work (e.g. rebranding and remodelling of stations) and technical installations being undertaken by the company.

Property, plant and equipment with net book value of Kshs 8,978,227,000 (2009 – Kshs 3,443,843,000) have been charged to secure banking facilities granted to the company as disclosed in note 24.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

13. PREPAID OPERATING LEASES

	2010 Kshs'000	2009 Kshs'000
COST		
At 1 January	937,612	398,798
Additions	122,936	-
Disposals	(20,828)	-
Acquisition through business combination	-	375,606
Reclassification from prepaid rent	-	163,208
Reclassification to assets held for sale	(27,626)	-
At 31 December	1,012,094	937,612
AMORTISATION		
At 1 January	381,536	100,927
Amortisation for the year	66,162	40,264
Acquisition through business combination	-	181,350
Disposals	(14,272)	-
Reclassification from prepaid rent	-	58,995
Reclassification to assets held for sale	(17,381)	-
At 31 December	416,045	381,536
NET BOOK VALUE		
At 31 December	596,049	556,076

The prepaid operating leases relate to amounts that the company has paid for the leased land on which most of its stations and depots stand.

The prepaid operating leases with net book value of Kshs 596,049,000 (2009 – Kshs 556,076,000) have been charged to secure banking facilities granted to the company as disclosed in note 24

NOTES TO THE FINANCIAL STATEMENTS (Cont')

14. GOODWILL

	2010 Kshs'000	2009 Kshs'000
Cost		
Balance at beginning of year	6,508,851	448,804
Additional amounts recognized from business combination (note 28(iv))	-	6,060,047
Transfers to property, plant and equipment	(5,979,972)	-
Balance at end of year	528,879	6,508,851
Accumulated impairment losses		
Balance at beginning and end of year	(112,200)	(112,200)
	416,679	6,396,651
(a) Goodwill arising from acquisition of Elf Oil Kenya Limited		
Cost	448,804	448,804
Accumulated impairment losses	(112,200)	(112,200)
	336,604	336,604

Goodwill amounting to Kshs 448,804,000 arose from the acquisition of a subsidiary, Elf Oil Kenya Limited, in March 2001. With effect from 1 January 2005, the operations of Elf Oil Kenya Limited were merged with those of Total Kenya Limited and this was achieved through a business sale agreement which resulted in the transfer of all Elf Oil Kenya Limited business, assets and liabilities to Total Kenya Limited.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to two cash generating units as follows:

- Network service station operations – cash flows and profits from acquired stations
- Rental fees income generation – fees paid by dealers operating acquired stations

Both units continue to generate positive cash flows and goodwill has been globally allocated to both. The recoverable amount of the cash generating units is based on value in use calculation which uses cash flow projections based on annual network business financial budgets and a long term business plan approved by management covering a ten year period.

The cash flows from the cash generating units are based on expected return on capital invested at between 10% to 25% and a stable market share. Management is of the opinion that any possible reasonable change in these assumptions would not cause the global carrying amount to exceed the recoverable amount.

At 31 December 2010, no impairment loss was assessed (2009: nil).

NOTES TO THE FINANCIAL STATEMENTS (Cont')

14. GOODWILL (continued)

(b) Goodwill arising from acquisition of Total Marketing Kenya Limited

	2010 Kshs'000	2009 Kshs'000
Cost		
Balance at beginning of year	6,060,047	-
Additional amounts recognised from business combination (note 28(iv))	-	6,060,047
Transfers to property, plant and equipment (note 12)	(5,979,972)	-
Balance at end of year	80,075	6,060,047
Accumulated impairment losses		
Balance at beginning and end of year	-	-
	80,075	6,060,047

Goodwill amounting to Kshs 6,060,047,000 arose from the acquisition of a Total Marketing Kenya Limited. With effect from 1 November 2010, the operations of Total Marketing Kenya Limited were merged with those of Total Kenya Limited and this was achieved through a business sale agreement which resulted in the transfer of all Total Marketing Kenya Limited business, assets and liabilities to Total Kenya Limited.

The initial accounting for the acquisition of Total Marketing Kenya Limited had only been provisionally determined at the end of the reporting period. The fair valuation of acquired assets and liabilities was performed during the year and completed on 31 March 2010. This has resulted in a change in the amount of fair values of net assets acquired and hence the goodwill recognised. An amount of Kshs 5,979,972 representing the excess of fair values over net book value of assets acquired has been transferred from goodwill to property, plant and equipment.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to the following cash generating units:

- Network service station operations – cash flows and profits from acquired stations as well as rent income paid by dealers operating acquired stations
- Blending plant – cash flows and profits from acquired blending plant
- Depot - cash flows and profits from acquired depot

Before review of impairment losses, the carrying amount of goodwill was allocated to the cash generating units as follows;

	2010 Kshs'000	2009 Kshs'000
Network service stations	59,999	-
Blending plant	12,012	-
Depot	8,064	-
	80,075	-

NOTES TO THE FINANCIAL STATEMENTS (Cont')

14. GOODWILL (continued)

Network service stations

The recoverable amount of this cash-generating unit is determined based on a value in use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2009:11% per annum).

Cash flow projections during the budget period are based on the same expected gross margins and raw materials price inflation throughout the budget period. The cash flows beyond that ten-year period have been extrapolated using a steady 3% (2009:3%) per annum growth rate in sales volumes.

The directors believe that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the cash-generating unit.

Blending plant

The recoverable amount of the blending plant as a cash-generating unit is determined based on a value in use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2009:11% per annum). Cash flows beyond that ten-year period have been extrapolated using a steady 3% (2009:3%) per annum growth rate in blended volume.

The directors believe that a 3% per annum growth rate is reasonable in view of the petroleum market projections within the region and, their intention to focus the Company's operations in this market.

The directors believe that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the cash-generating unit.

Depot

The recoverable amount of the depot as a cash-generating unit is determined based on a value in use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2009:11% per annum). Cash flows beyond that ten-year period have been extrapolated using a steady 3% (2009:3%) per annum growth rate in blended volume.

The directors believe that a 3% per annum growth rate is reasonable in view of the petroleum market projections within the region and, their intention to focus the Company's operations in this market.

The directors believe that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the cash-generating unit.

At 31 December 2010, no impairment loss was assessed (2009: nil).

The two subsidiary companies, Elf Oil Kenya Limited and Total Marketing Kenya Limited have not been consolidated as they are dormant and insignificant having transferred their assets and liabilities to Total Kenya Limited.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

15. INTANGIBLE ASSETS

(b) Goodwill arising from acquisition of Total Marketing Kenya Limited

	2010 Kshs'000	2009 Kshs'000
Cost		
At 1 January	295,681	116,780
Additions	82,982	1,913
Acquisition through business combination	-	176,988
Transfers from property, plant and equipment	1,902	-
At 31 December	380,565	295,681
AMORTISATION		
At 1 January	177,085	90,562
Charge for the year	135,751	31,403
Acquisition through business combination	-	55,120
At 31 December	312,836	177,085
NET BOOK VALUE		
At 31 December	67,729	118,596

The intangible assets relate to accounting, payroll and other computer software acquired by the company.

16. OTHER ASSETS

	2010 Kshs'000	2009 Kshs'000
At 1 January	154,145	-
Prepayments during the year	-	154,145
Expensed during the year	(45,229)	-
At 31 December	108,916	154,145
Maturity analysis:		
Current	38,499	45,229
Non current	70,417	108,916
At 31 December	108,916	154,145

Other assets consist of prepaid loan commitment fees, legal and professional fees incurred to raise the medium term borrowing from a consortium of local banks. These costs are amortized over the life of the underlying medium term borrowings using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

17. DEFERRED TAX ASSET

(i) The net deferred tax asset is attributable to the following:

As of December 31,	2010 Kshs'000	2009 Kshs'000
Accelerated depreciation	(124,438)	(52,448)
Unrealised exchange differences	58,231	(16,209)
General provisions	(65,792)	(44,787)
Net deferred tax asset	(131,999)	(113,444)
(ii) Movement on the deferred tax account is as follows:		
At 1 January	(113,444)	(78,950)
Profit or loss (Note 9 (i))	(18,555)	(18,652)
Acquired through business combination	-	(15,842)
At 31 December	(131,999)	(113,444)

Deferred taxation is estimated on all temporary differences under the liability method using the currently enacted tax rate of 30% (2009 - 30%).

18. INVENTORIES

As of December 31,	2010 Kshs'000	2009 Kshs'000
Refined products	7,424,066	6,294,090
Raw material and crude oil	1,943,674	1,443,884
Consumables and accessories	219,071	162,119
Provision for obsolete and defective stocks	(69,870)	(23,625)
Total inventories	9,516,941	7,876,468

NOTES TO THE FINANCIAL STATEMENTS (Cont')

19. TRADE AND OTHER RECEIVABLES

As of December 31,	2010 Kshs'000	2009 Kshs'000
Trade receivables	6,847,237	8,901,974
Allowance for doubtful debts	(592,253)	(580,448)
	6,254,984	8,321,526
Recoverable taxes	1,351,333	1,998,415
Other receivables and prepayments	385,386	498,593
Total trade and other receivables	7,991,703	10,818,534
Recoverable taxes relate to advance payments for excise duty on petroleum products.		

20. RELATED COMPANY BALANCES

(i) Amounts due from related companies In thousand of Kshs

As of December 31,	2010 Kshs'000	2009 Kshs'000
Air Total International	1,139,360	957,037
Total Uganda Limited	211,425	157,318
NETCO Management Limited	166,643	336,388
Fina Congo S.A.R.L	32,549	17,880
Total Tanzania Limited	471	2
Other related companies	-	72,160
	1,550,448	1,540,785
(ii) Amounts due to related companies		
Total France	42,077	72,915
Total Middle East	39,111	-
	81,188	72,915

NOTES TO THE FINANCIAL STATEMENTS (Cont')

21. ASSETS CLASSIFIED AS HELD FOR SALE

As of December 31,	2010 Kshs'000	2009 Kshs'000
Property, plant and equipment	132,068	-
Prepaid operating leases	10,245	-
	142,313	-

The company intends to dispose off 13 stations and other facilities in the next 12 months. These were previously used for the company's operations. Buyers have already been identified and sale and purchase agreements dated 30 August 2010 were signed between the company and the buyers.

No impairment loss was recognized on reclassification of the assets from property, plant and equipment and prepaid operating leases to assets classified as held for sale as at 31 December 2010 as the expected proceeds on disposal exceed the net carrying amounts of the assets.

22. SHARE CAPITAL

As of December 31,	2010 Kshs'000	2009 Kshs'000
Authorised ordinary shares		
Kshs 5 each	181,630	181,630
Authorised redeemable preference shares		
Kshs 31.58 each	123,478	123,478
Issued ordinary share capital	875,324	875,324
Issued redeemable preference share capital	3,899,447	3,899,447
	4,774,771	4,774,771
Issued capital comprises:		
175,064,706 fully paid ordinary shares (2009: 173,013,306)	875,324	865,067
Nil fully paid Class 'A' ordinary shares (2009: 2,051,400)	-	10,257
123,478,388 fully paid redeemable preference shares (2009: 123,478,388)	3,899,447	3,899,447
	4,774,771	4,774,771

NOTES TO THE FINANCIAL STATEMENTS (Cont')

22. SHARE CAPITAL (Continued)

Fully paid ordinary shares	Number of Shares	Share Capital Kshs'000	Number of Shares	Share Capital Kshs'000
At 1 January				
Ordinary shares	175,065	875,324	173,013	865,067
Ordinary Class A shares	-	-	2,052	10,257
	175,065	875,324	175,065	875,324
Issued redeemable preference shares	123,478	3,899,447	-	-
Issue of redeemable preference shares	-	-	123,478	3,899,447
At 31 December	298,543	4,774,771	298,543	4,774,771

The fully paid ordinary shares which have a par value of Kshs 5, carry one vote per share and carry a right to dividends.

The redeemable non cumulative preference shares which have an issue price of Kshs 31.58 do not have any voting rights but have the same rights to dividends as the ordinary shares. The right to redemption of the redeemable preference shares is at the discretion of the company hence they have been classified as equity.

Class A ordinary shares reported in 2009 relate to the shares held by the employees of the company which were listed as ordinary shares on the Nairobi Stock Exchange in July 2010 and therefore the classification no longer applies.

23. SHARE PREMIUM

As of December 31,	2010 Kshs'000	2009 Kshs'000
As of 1 January and 31 December	1,967,520	1,967,520

This is a non distributable reserve as per the requirements of the Kenyan Companies Act.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

24. MEDIUM TERM BORROWINGS

As of December 31,	2010 Kshs'000	2009 Kshs'000
Secured - at amortised cost		
At beginning of the year	4,680,000	-
Loans acquired in the year	-	4,680,000
Repayments during the year	(702,000)	-
At end of the year	3,978,000	4,680,000
Maturing as follows;		
Within one year	702,000	702,000
In second year	702,000	702,000
In third to fifth year	2,574,000	3,276,000
	3,978,000	4,680,000
Due for settlement within one year	702,000	702,000
Due for settlement after one year	3,276,000	3,978,000

The medium term facility was made available to finance a portion of the consideration for the purchase of Total Marketing Kenya Limited. It is denominated in Kenya Shillings and is repayable in quarterly principal installments over a period of 5 years. The first installment was due on 31 March 2010.

The loan is secured by;

- All assets debenture.
- Pledge of shares in Total Marketing Kenya Limited.
- Mortgage granted over the property known as LR Number 214/110, Nairobi.
- Charge granted over the property known as LR Number 3734/383, Nairobi.
- Charge granted over the property known as LR Number 209/15789, Nairobi

The weighted average effective interest rate on the borrowings is 10.51% (2009: 11.56%).

25. TRADE AND OTHER PAYABLES

As of December 31,	2010 Kshs'000	2009 Kshs'000
Trade payables	5,668,139	3,584,985
Other payables and accruals	4,606,838	4,786,084
Total payables	10,274,977	8,371,069

Interest is only charged on trade payables due to purchase of petroleum products at rates set by the Open Tender Supply (OTS) agreement. The company has financial risk management policies in place to ensure that all payables are paid within the credit

NOTES TO THE FINANCIAL STATEMENTS (Cont')

26. SHORT TERM BANK BORROWINGS

As of December 31,	2010 Kshs'000	2009 Kshs'000
Unsecured - at amortised cost		
Bank overdrafts	1,169,375	1,345,595
Short term bank loans	4,728,000	7,837,000
Total short term borrowings and bank overdraft	5,897,375	9,182,595

Bank overdraft facilities are held with various financial institutions, primarily international stable local banks, and are unsecured. The facilities are operated within designated limits and under the terms and conditions stipulated by the financial institutions.

The short term bank loans are interest bearing and are drawn from various financial institutions with maturity periods not exceeding 3 months (2009: 3 months).

Interest rates

The borrowings are repayable on demand or within three months and are unsecured. The interest on these borrowings is based on prevailing money market rates. The weighted average interest rates paid on borrowings during the year were as follows:

For the year ended December 31,	2010	2009
Average interest rate on short term borrowings and bank overdrafts	7.00%	8.25%

Analysis by currency

As of December 31,	2010 Kshs'000	2009 Kshs'000
In Usd	608,427	1,167,591
In Kshs	5,280,948	8,015,004
	5,897,375	9,182,595

NOTES TO THE FINANCIAL STATEMENTS (Cont')

27. NOTES TO THE CASH FLOW STATEMENT

(i) Reconciliation of operating profit to cash generated from operations

For the year ended December 31,	2010 Kshs'000	2009 Kshs'000
Profit before taxation	1,388,425	733,699
Adjustments for:		
Finance income (Note 7(a))	(23,267)	(11,614)
Finance costs (Note 7(b))	976,913	538,000
Depreciation (Note 12)	774,431	324,196
Amortisation – prepaid operating leases (Note 13)	66,162	40,264
Amortisation – intangible assets (Note 15)	135,751	31,403
Profit on disposal of property, plant and equipment and prepaid operating leases	(255,381)	(1,274)
Operating profit before working capital changes	3,063,034	1,654,674
Increase in inventories	(1,640,473)	(158,575)
Decrease/(increase) in trade and other receivables	2,826,831	(3,878,507)
Increase in trade and other payables	1,903,908	3,667,345
Increase/(decrease) in amounts due to holding company	182,316	(647,259)
Movement in balances with related companies	(1,390)	50,667
Decrease in other assets	45,229	-
Cash generated from operations	6,379,455	688,345
(ii) Analysis of cash and cash equivalents		
As of December 31,		
Cash and bank balances	874,673	509,654
Bank overdrafts (note 26)	(1,169,375)	(1,345,595)
Short term loans (Note 26)	(4,728,000)	(7,837,000)
Cash and cash equivalents	(5,022,702)	(8,672,941)

Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents includes cash on hand and in banks, short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired, less net of outstanding bank overdrafts.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

28. BUSINESS COMBINATION

(i) Acquisition in the prior year

	Principal activity	Date of acquisition	Name of shares acquired %	Consideration transferred Kshs'000
Total Marketing Kenya Limited	Purchase and distribution of petroleum products	1 November 2010	100	11,304,336

The primary reason for the acquisition was to complement Total Kenya Limited's own business activities by providing a more balanced asset portfolio as well as larger business size to enable it benefit from a growing Kenyan market. The acquisition increased the number of service stations, strengthened Total Kenya Limited's position in the airports and provided it with its own blending plant.

The acquisition was financed by way of;

- (a) Capital injection of Kshs 3,900 Million by Total Outer Mer pursuant to the redeemable preference shares issue;
- (b) Commercial medium term loans of Kshs 4,680 Million;
- (c) Existing short term facilities from Total Kenya Limited's existing lenders of Kshs 2,724 Million.

(ii) Consideration transferred

The consideration transferred consisted of cash totalling Kshs 11,304,336. Acquisition related costs amounting to Kshs 150 million were included in the consideration transferred as these were costs directly attributed to the business combination.

(iii) Assets acquired and liabilities assumed at the date of acquisition

As of December 31,	2010 Kshs'000	2009 Kshs'000
Current assets		
Inventories	-	3,666,341
Trade and other receivables	-	2,477,559
Bank and cash balances	-	688,055
Non current assets		
Property, plant and equipment	-	1,606,701
Prepaid operating leases	-	194,256
Intangible assets	-	121,868
Deferred tax asset	-	15,842
Current liabilities		
Trade and other payables	-	(1,270,333)
Short term borrowings	-	(2,256,000)
Net assets acquired	-	5,244,289

NOTES TO THE FINANCIAL STATEMENTS (Cont')

28. BUSINESS COMBINATION

(iii) Assets acquired and liabilities assumed at the date of acquisition (Continued)

The initial accounting for the acquisition of Total Marketing Kenya Limited had only been provisionally determined at the end of the prior year reporting period.

The fair valuation of acquired assets and liabilities was performed during the year and completed on 30 April 2010. This has resulted in a change in the amount of goodwill reported and fair values of net assets acquired.

(iv) Goodwill arising on acquisition

As of December 31,	2010 Kshs'000	2009 Kshs'000
Consideration transferred	-	11,304,336
Less fair value of identifiable net assets acquired	-	(5,244,289)
Goodwill arising on acquisition (Note 14)	-	6,060,047
(v) Net cash outflow on acquisition of Total Marketing Kenya Limited		
Consideration paid in cash	-	11,304,336
Less: cash and cash equivalent balances acquired	-	(688,055)
	-	10,616,281

NOTES TO THE FINANCIAL STATEMENTS (Cont')

29. RELATED PARTY TRANSACTIONS

(i) Transactions with related companies

During the year, the company made purchases amounting to Kshs 4,594 million (2009 – Kshs 3,847 million) from the holding company and other companies related to it by virtue of common shareholding. The company also earned revenue of Kshs 1,654 million (2009 – Kshs 845 million) from related companies.

Sales and purchases to/from related parties were made on terms and conditions similar to those offered to major customers or available from major suppliers.

The company purchased plant and equipment amounting to Kshs 80 million (2009- Kshs 56 million) from the holding company and other companies related to it by virtue of common shareholding. The company also has technical assistance agreements with the holding company for which it paid fees for the year amounting to Kshs 258 million (2009- Kshs 171 million) as disclosed on note 6.

(ii) Amounts due to holding company

The amount due to the holding company in relation to the above transactions is Kshs 363 million (2009 – Kshs 181 million) as set out on the balance sheet. Other amounts due to/from related companies are shown on note 20.

(iii) Key management compensation

The remuneration of directors and other members of key management were as follows:

As of December 31,	2010 Kshs'000	2009 Kshs'000
Salaries and other short-term employment		
Benefits	130,500	84,594
Post-employment benefits	6,366	3,933
	136,866	88,527
(iv) Directors' remuneration		
Fees for services as a director	1,600	1,600
Other emoluments (included in key management compensation above)	43,385	28,115
	44,985	29,715

NOTES TO THE FINANCIAL STATEMENTS (Cont')

30. COMMITMENTS AND CONTINGENCIES

(a) Contingent Liabilities

Guarantees and bonds

As of December 31,	2010 Kshs'000	2009 Kshs'000
Total commitments given	1,927,761	2,168,349
Total commitments received	1,658,658	865,528

Commitments given include primarily customs bonds. The bonds are held in the ordinary course of business. No losses are anticipated in respect of these contingent liabilities.

Commitments received include primarily customer guarantees.

Commitments received/given are all held with local banks.

(b) Contingent Liabilities

Legal claims

- In 1999, a supplier launched a claim of Kshs 44,100,000 for damages relating to termination of transporter agreement.
- In 2009, a distributor filled a claim of Kshs 75,950,163 against the company for refund for product allegedly paid and never supplied, loss of income and damages for alleged assault during station take-over.

Based on legal advice received from the company's lawyer, the directors are of the opinion that the liabilities will not materialize.

Contingent liability relating to parent company

An amount of Kshs 196 million (USD 2,427,388) (2009: Kshs 189 million (USD 2,427,388)) exists as at 31 December 2010 for an unsettled invoice to the parent company, Total Outremer, and has not been provided for in the Total Kenya Limited's books as the goods were not received by Total Kenya Limited. Management is keenly following up on the matter and is of the view that the ultimate resolution of this matter will not have any impact on the company's financial position or liquidity.

Capital commitments

As of December 31,	2010 Kshs'000	2009 Kshs'000
Authorised and contracted for	100,431	151,387
Authorised but not contracted for	730,323	712,720

NOTES TO THE FINANCIAL STATEMENTS (Cont')

30. COMMITMENTS AND CONTINGENCIES (Cont')

(c) Contingent Assets

Industry dispute

The company is involved in a dispute with other oil companies over the price to be applied for the re-invoicing of November 2004 industry crude import which was shipped by the company under the contractual arrangements of the Open Tender System (OTS). The matter was determined in the company's favour but other oil companies have lodged an appeal and the matter referred for arbitration. The company directors and legal advisers are of the opinion that the final decision will be in the company's favour. The total amount in dispute over the tender is Kshs 106 million, which has been fully provided for in the financial statements.

Dispute with a supplier

The company is also involved in a dispute with a supplier over the non delivery of product paid for but not received. The net exposure of Kshs 171 million has been fully provided for in the financial statements.

31. OPERATING LEASE COMMITMENTS

As of December 31,	2010 Kshs'000	2009 Kshs'000
Maturing within one year	26,859	16,679
Maturing over one year to five years	65,669	41,584
Total operating lease commitments	92,528	58,263

All the commitments relate to future rent payable for the head office (Regal plaza) based on the existing contracts.

32. RETIREMENT BENEFIT PLANS

(a) Defined contribution plan

The company operates a defined contribution retirement benefit plan for all qualifying employees. The assets of the plan are held separately from those of the company in funds under the control of trustees. Where employees leave the plan prior to full vesting of the contributions, the contributions payable by the company are reduced by the amount of forfeited contributions.

The total expense recognised in the statement of comprehensive income of Kshs 62 Million (2009: Kshs 42 Million) represents contributions payable to these plan by the company at rates specified in the rules of the plan. As at 31 December 2010, contributions of Kshs 5 Million (2009: Kshs 3 Million) due in respect of the reporting period had not been paid over to the plan. The amounts were paid subsequent to the end of the reporting period.

(b) Defined benefit plan

The company operates a funded defined benefit plan for qualifying employees. Under the plan, the employees are entitled to retirement benefits of 15.07% (2009: 15.07%) of final salary on attainment of a retirement age of 65. No other post-retirement benefits are provided to these employees.

The most recent actuarial valuations of plan assets and the present value of the defined benefit obligation were carried out at 31 December 2010 by Actuarial and Benefit Consultants Limited. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

32. RETIREMENT BENEFIT PLANS (Cont')

(b) Defined benefit plan (Continued)

The principal assumptions used for the purposes of the actuarial valuations were as follows.

As of December 31,	Valuation 2010 Kshs'000	Valuation 2009 Kshs'000
	%	%
Discount rate(s)	10	10
Expected return on plan assets	10	10
Expected rate(s) of salary increase	8	8

Amounts recognised in profit or loss in respect of these defined benefit plans are as follows.

As of December 31,	2010 Kshs'000	2009 Kshs'000
Current service cost	11,559	4,996
Interest on obligation	28,356	2,665
Expected return on plan assets	(29,069)	(7,697)
Actuarial (gains)/losses recognised in the year	-	1,810
Past service cost	-	-
Expense recognised in profit or loss	10,846	1,774

The expense for the year is included in the employee benefits expense in the statement of comprehensive income (note 8).

The amount included in the statement of financial position arising from the entity's obligation in respect of its defined benefit plans is as follows.

	2010 Kshs'000	2009 Kshs'000
Present value of funded defined benefit obligation	371,004	283,557
Fair value of plan assets	(323,761)	(290,693)
Deficit/(surplus)	47,243	(7,136)
Net actuarial (losses)/gains not recognised	(7,243)	7,136
Net liability arising from defined benefit obligation (recognized and included in other payables and accruals note 25)	40,000	-

Also, the company contributes to the statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the statutory scheme are determined by local statute and are currently limited to Kshs 200 per employee per month. Contributions to this scheme during the year amounted to Kshs 893,200 (2009 - Kshs 659,200).

NOTES TO THE FINANCIAL STATEMENTS (Cont')

33. CAPITAL RISK MANAGEMENT

The company manages its capital to ensure that it is able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance. The company's overall strategy remains unchanged from 2009.

The capital structure of the company consists of debt, which includes the borrowings disclosed in notes 24 and 26 respectively, cash and cash equivalents and equity attributable to equity holders, comprising issued capital, reserves and retained earnings as disclosed in notes 22 and 23.

Gearing ratio

The gearing ratio at the end of the year was as follows

As of December 31,	2010 Kshs'000	2009 Kshs'000
Medium term borrowings – non current (note 24)	3,276,000	3,978,000
Medium term borrowings – current (note 24)	702,000	702,000
Short term borrowings (note 26)	5,897,375	9,182,595
Bank and cash balances (note 27 (ii))	(874,673)	(509,654)
Net borrowings	9,000,702	13,352,941
Equity*	9,579,853	8,962,191
Net debt to equity ratio	94%	149%

*Equity includes capital and reserves.

34. FINANCIAL RISK MANAGEMENT

Financial risk management objectives

The company's corporate treasury function provides services to the business, co-ordinates access to domestic financial markets, monitors and manages the financial risks relating to the operations of the company through internal risk reports which analyse exposures by degree and magnitude of risks. These risks include market risk (including currency risk, fair value interest rate risk and price risk), credit risk, liquidity risk and cash flow interest rate risk.

The company seeks to minimise the effects of these risks by using derivative financial instruments to hedge these risk exposures. The use of financial derivatives is governed by the Total Group's policies, which provide written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits is reviewed by the internal auditors on a continuous basis. The company does not enter into or trade in financial instruments, including derivative financial instruments, for speculative purposes.

The company's treasury function reports monthly to the Group's treasury, a section of the Group that monitors risks and policies implemented to mitigate risk exposures.

Market risk

The activities of the company expose it primarily to the financial risks of changes in foreign currency exchange rates and interest rates. The company enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign currency risk, including forward foreign exchange contracts to hedge the exchange rate risk arising on the trade of petroleum products. There has been no change to the company's exposure to market risks or the manner in which it manages and measures the risk.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

34. FINANCIAL RISK MANAGEMENT (Continued)

Foreign currency sensitivity analysis

The main currency exposure that the company is exposed to relate to the fluctuation of the Kenya Shillings exchange rates with the US Dollar, Euro and Pound currencies.

The table below details the company's sensitivity to a 10% increase and decrease in the Kenya Shilling against the relevant foreign currencies. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end for a 10% change in foreign currency rates. The sensitivity analysis includes external loans. A negative number below indicates an increase in profit and other equity where the Kenya Shilling strengthens 10% against the relevant currency. For a 10% weakening of the Kenya Shilling against the relevant currency, there would be an equal and opposite impact on the profit and other equity, and the balances below would be positive.

	2010 Kshs'000	2009 Kshs'000
USD Impact	286,863	122,453
Euro Impact	3,398	46

The US Dollar impact is mainly attributable to the exposure on outstanding US Dollar receivables, payables and overdraft at the year end, the Euro impact is mainly attributable to the exposure on outstanding Euro receivables and payables at the year end.

The sensitivity analysis is unrepresentative of the inherent foreign exchange risk as the year end exposure does not reflect the exposure during the year.

Forward foreign exchange contracts

The company enters into forward foreign exchange contracts to manage risk associated with anticipated trade transactions. At 31 December 2010, a total of Kshs 1.69 billion (USD 20.97 million) (2009: a total of Kshs 1.03 billion (USD 13.6 million) was payable various dates in 2011 relating to product supplied by several suppliers.

Interest rate risk management

The company is exposed to interest rate risk as it borrows funds at both fixed and floating interest rates. The risk is managed by the company by maintaining an appropriate mix between fixed and floating rate borrowings. Hedging activities are evaluated regularly to align with interest rate views and defined risk appetite.

The company's exposures to interest rates on financial assets and financial liabilities are detailed in the liquidity risk management section of this note.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

34. FINANCIAL RISK MANAGEMENT (Cont')

Interest rate sensitivity analysis

The analysis is prepared assuming the amount of liability outstanding at the balance sheet date was outstanding for the whole year.

If interest rates had been 0.5% higher/lower and all other variables were held constant, the company's profit before tax for the year ended 31 December 2010 would decrease/increase by Kshs 48.8 million (2009: by Kshs 26.9 Million). This is mainly attributable to the company's exposure to interest rates on its borrowings and overdraft.

The company's sensitivity to interest rates has increased during the current period mainly due to the increase in financial requirements.

Credit risk management

Credit risk refers to the risk of financial loss to the company arising from a default by a counterparty on its contractual obligations. The company's policy requires that it deals only with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. This information is supplied by independent rating agencies where available. If not available, the company uses other publicly available financial information and its own trading records to rate its major customers. The company's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the risk management committee.

Trade receivables consist of a large number of customers, spread across diverse industries and geographical areas. Ongoing credit evaluation is performed on the financial condition of accounts receivable and, where appropriate, credit guarantee is requested.

The company does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The company defines counterparties as having similar characteristics if they are related entities. The credit risk on liquid funds and derivative financial instruments is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

The company's maximum exposure to credit risk as at 31 December 2010 is analysed in the table below:

	Fully Performing Kshs'000	Past Due Kshs'000	Impaired Amount Kshs'000	Total Kshs'000
Network	406,927	-	83,089	490,016
Non-Network	5,467,071	973,239	509,164	6,949,474
Trade receivables	5,873,998	973,249	592,253	7,439,490
Other receivables	126,663	-	-	126,663
Bank balances	873,244	-	-	873,244

NOTES TO THE FINANCIAL STATEMENTS (Cont')

34. FINANCIAL RISK MANAGEMENT (Cont')

Credit risk management (Cont')

The company's maximum exposure to credit risk as at 31 December 2009 is analysed in the table below:

	Fully Performing Kshs'000	Past Due Kshs'000	Impaired Amount Kshs'000	Total Kshs'000
Network	421,656	-	54,766	476,422
Non-Network	7,508,650	971,668	525,682	9,006,000
Trade receivables	7,930,306	971,668	580,448	9,482,422
Other receivables	173,156	-	-	173,156
Bank balances	506,703	-	-	506,703

The default risk on the customers under the fully performing category is very low as they are active in paying their debts as they continue trading. The past due amounts have not been provided for since the amounts continue to be paid. The impaired amounts have been fully provided for in these financial statements.

Liquidity risk management

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. Included in financing facilities section of this note, is a listing of additional undrawn facilities that the company has at its disposal to further reduce liquidity risk.

Financing facilities

	2010 Kshs'000	2009 Kshs'000
Unsecured bank loans and overdraft, payable at call and reviewed annually		
Amount used	5,897,375	9,182,595
Amount unused	11,122,625	5,991,725
Total Facilities	17,020,000	15,174,320

NOTES TO THE FINANCIAL STATEMENTS (Cont')

34. FINANCIAL RISK MANAGEMENT (Cont')

Liquidity risk management (Cont')

The table below shows the breakdown of amounts used with 6 main banks at the end of the reporting period.

	2010 Carrying Amount Kshs'000	2009 Carrying Amount Kshs'000
Bank		
Barclays Bank	1,468,000	968,000
Standard Chartered Bank	1,100,000	3,069,000
CfC Stanbic Bank	700,000	-
Bank of Africa	600,000	600,000
Commercial Bank Of Africa	500,000	-
Eco bank	360,000	-
Citibank	-	3,200,000
Total	4,728,000	7,837,000

The following table analyses the company's financial liabilities(in thousand of Kshs) that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date.

	Up to 1 month	1-3 months	4-12 months	> 1 year	Total
At 31 December 2010					
Medium term loan	-	175,500	526,500	3,276,000	3,978,000
Short term bank loans	4,728,000	-	-	-	4,728,000
Bank overdrafts	1,169,375	-	-	-	1,169,375
Trade payables	5,668,139	-	-	-	5,668,139
Total financial liabilities	11,565,514	175,500	526,500	3,276,000	15,543,514
At 31 December 2009					
Medium term loan	-	175,500	526,500	3,978,000	4,680,000
Short term bank loans	7,837,000	-	-	-	7,837,000
Bank overdrafts	1,345,595	-	-	-	1,345,595
Trade payables	3,584,985	-	-	-	3,584,985
Total financial liabilities	12,767,580	175,500	526,500	3,978,000	17,447,580

NOTES TO THE FINANCIAL STATEMENTS (Cont')

35. FAIR VALUE

The directors consider that where fair values of financial assets and liabilities have not been disclosed, their fair values are not significantly different from their carrying values.

36. ASSETS PLEDGED AS SECURITY

As at 31 December 2010, assets pledged by the company to secure liabilities are as disclosed under note 24 (2009: note 24).

37. INCORPORATION

Total Kenya Limited is a limited liability company incorporated and domiciled in Kenya under the Kenyan Companies Act. The parent company is Total Outre Mer while the ultimate holding company is Total S.A, both incorporated in France.

38. CURRENCY

The financial statements are presented in Kenya Shillings thousands.

FIVE-YEAR SUMMARIZED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

The following table analyses the company's financial liabilities(in thousand of Kshs) that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date.

As of December 31,	2010 Kshs'000	2009 Kshs'000	2008 Kshs'000	2007 Kshs'000	2006 Kshs'000
ASSETS					
Non-current assets					
Property, equipment and leases	9,574.3	3,999.9	2,321.4	2,301.6	2,355.0
Goodwill	416.7	6,396.7	336.6	336.6	336.6
Other intangible assets	138.1	227.5	26.2	53.3	71.7
Deferred taxation	132.0	113.4	78.9	46.1	65.8
Total non-current assets	10,261.1	10,737.5	2,763.1	2,737.6	2,829.1
Current assets					
Inventories	9,516.9	7,876.5	4,051.6	3,438.9	6,049.6
Other current assets	9,580.6	12,404.5	6,163.1	5,502.5	5,210.3
Cash and cash equivalent	874.7	509.7	1,548.9	833.7	1,264.4
	19,972.2	20,790.7	11,763.6	9,775.1	12,524.3
Assets classified as held for sale	142.3	-	-	-	-
Total current assets	20,114.5	20,790.7	11,763.6	9,775.1	12,524.3
TOTAL ASSETS	30,375.6	31,528.2	14,526.7	12,512.7	15,353.4
EQUITY AND LIABILITIES					
Capital and reserves					
Share capital	4,774.7	4,774.7	875.3	875.3	875.3
Share premium	1,967.5	1,967.5	1,967.5	1,967.5	1,967.5
Revenue reserves	2,837.5	2,219.9	2,175.0	1,908.7	1,822.2
Total capital and reserves	9,579.7	8,962.1	5,017.8	4,751.5	4,665.0
Non current liabilities					
Medium term loan	3,276.0	3,978.0	-	-	-
Current liabilities					
Trade and other payables	10,920.6	8,703.5	4,467.4	4,984.7	5,674.4
Short term borrowings	5,897.3	9,182.6	5,041.5	2,776.5	5,014.0
Medium term loan	702.0	702.0	-	-	-
Total current liabilities	17,519.9	18,588.1	9,508.9	7,761.2	10,688.4
TOTAL EQUITY AND LIABILITIES	30,375.6	31,528.2	14,526.7	12,512.7	15,353.4

APPENDIX II

FIVE-YEAR SUMMARIZED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

The following table analyses the company's financial liabilities (in thousand of Kshs) that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date.

As of December 31,	2010 Kshs'000	2009 Kshs'000	2008 Kshs'000	2007 Kshs'000	2006 Kshs'000
Gross sales	79,206.6	41,311.5	54,807.5	44,109.7	38,052.9
Indirect taxes and duties	(14,844.8)	(8,634.4)	(10,246.6)	(9,352.0)	(7,391.5)
Net sales	64,361.8	32,677.1	44,560.9	34,757.7	30,661.4
Cost of sales	(59,044.5)	(29,868.1)	(41,667.5)	(32,322.3)	(28,409.0)
Gross profit	5,317.3	2,809.0	2,893.4	2,435.4	2,252.4
Expenses and other income	(2,977.3)	(1,549.1)	(1,497.3)	(1,367.2)	(1,186.7)
Interest charges, net	(951.6)	(526.3)	(364.8)	(286.3)	(388.5)
Profit before taxation	1,388.4	733.6	1,031.3	781.9	677.2
Taxation	(472.2)	(251.1)	(327.5)	(257.7)	(191.1)
Net profit for the year	916.2	482.5	703.8	524.2	486.1



The Secretary
Total Kenya Limited
P.O. Box 30736 - 00100
Nairobi.

I/WE.....

OF.....

Being a member of Total Kenya Limited, hereby appoint:.....

OF.....

Whom failing.....

OF.....

as our/my proxy, to vote for us/me and on our/my behalf at the Annual General Meeting of the Company to be held on 8 June 2011 at KICC, Aberdares and Lenana Meeting rooms, Nairobi and at any adjournment thereof.

As witness our/my hand this..... day of..... 2011

Signed..... Signed.....

Note:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his stead and a proxy need not be a member of the Company.
2. In the case of a member being a limited Company this form must be completed under its Common seal.
3. This proxy must be delivered to the Company's registered office not later than 10.00 a.m. on 6 June 2011 failing which it is invalid.

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